

European Automobiles & Components

Global Tyres: Pressure Monitor (Q2 2026 Preview) - This remains a sector to own



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As we approach tyre maker Q2 reporting (starting with Michelin on 27th July) we update volume forecasts for weaker recent data and maintain our raw material headwind assumption due to hit in H2. This does not shake our conviction in owning the sector today. The last time we had a major cost spike (2021/22) tyre stocks outperformed and hit peak multiples, and we expect tyre makers to prove their inbuilt resilience and pricing power again this time round. Even after our lowered base scenario, consensus numbers are beatable, and existing full year guidance ranges provide plenty of buffer on the downside. Beyond Q2 we continue to expect positive H2 volumes for Tier 1 tyre makers driven in part by the cyclical recovery in US trucks, and we see a good entry into companies which are too high quality compared to their single digit P/E ratios. Remain outperform on Michelin, Pirelli & Bridgestone.

Q2 stock performance. Since the beginning of the quarter, the tyre makers have all outperformed the autos index, with Michelin the best performer (+12%) driven by a relative flight to safety in our cyclical sector. Relative performance has not been completely in line with estimate changes: the worst performer, Bridgestone, has not seen major estimate cuts, yet Michelin has seen close to a 10% cut since reporting Q1.

Q2 volumes weakened, H2 set for recovery. After a weak Q1, Q2 was expected to still be soft but not to the same extent. Today OE passenger tyres are seeing negative trends worldwide. Passenger replacement markets remain weak in North America (-4%) (see [Link](#)) and very strong in China (+13%). Europe >18" continues to be the major bright spot as well coming in +13%. Tier 1s should also finally start benefiting from slowing imports in North America: Q2 sell-in is tracking down 4% but US tyre imports are down double digits. Truck, Agriculture remain cyclically weak but should recover in H2, particularly in truck where order books are very strong. We expect all to post negative volume growth in Q2 but expect improving volumes in H2 driven by cyclical recovery.

Q2 expectations. We see upside for the sector going into results. We are just above consensus for Michelin's Q2 revenue, but see upside to EBIT for H1. We are roughly in line for Pirelli topline, but see 2% upside in EBIT. For Bridgestone we are 2% above for revenues and 3% above for EBIT. And for Continental, we are 1% below street on sales, but see significant margin upside and are 2% above on absolute EBIT. We expect FY guidance to be reiterated across the group with existing guides still looking conservative.

What is the impact from Middle East & higher raw material costs in H2? Although the stocks are down since the beginning of the conflict, we see little structural risk. Premium tyres have historically outperformed standard even in economic downturns. The tyre makers have also consistently demonstrated strong pricing power. While there will be a timing impact (we incorporate a headwind to margin in H2), we expect the tyre makers to fully recuperate higher costs from H1 2027 onwards and see no structural impairment to margin. We therefore see today as an attractive entry point.

BERNSTEIN TICKER TABLE

Ticker	Rating	10 Jul 2026		Price Target	TTM Rel. Perf.	Reported EPS				Reported P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
5108.JP (Bridgestone)	O	JPY	3,569.00	4,300.00	(28.2)%	JPY	238.14	309.88	377.66	15.0	11.5	9.5
OLD								308.66	386.43			
CON.GR (Continental)	M	EUR	71.84	73.00	7.3%	EUR	(2.22)	5.97	7.94	(32.3)	12.0	9.1
ML.FP (Michelin)	O	EUR	34.87	38.00	(10.6)%	EUR	2.33	2.73	3.73	15.0	12.8	9.3
OLD								2.78	3.79			
PIRC.IM (Pirelli)	O	EUR	6.88	7.00	(0.5)%	EUR	0.50	0.52	0.58	13.9	13.4	11.8
OLD								0.50	0.55			
JPL			2,639.99									
EDME			1,593.41									

ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We rate Michelin Outperform. Michelin is about to hit the next leg of margin expansion driven by premiumisation and restructuring. We expect margin expansion ahead of consensus, and are 4% and 15% ahead on 2026 and 2027 EBIT. Cash return upside is also considerable: balance sheet leverage is at a 20+ year low giving Michelin scope to pay dividends, announce buybacks beyond the new €2bn, and do [accretive M&A](#). Our work on valuation leads us to expect that the market will sustain a higher multiple for the sector, with the real opportunity in Michelin which is trading below historical ranges, unjustified for a company which makes consumer goods margins but trades at auto supplier multiples.

[Michelin: Nunc est Bibendum. A Primer on our new top pick in Tyres \(Outperform\)](#)

We rate Pirelli Outperform. As a pureplay consumer tyre maker, Pirelli will benefit from the same structural tailwinds as the rest of the industry, driving revenue and margin expansion ahead of consensus. Pirelli trades at a discount to peers and ~40% discount to 'fair value' due to the Sinochem shareholding's political risk, and issues investing directly into the U.S. or the future restriction on selling the Cyber Tyre. In recent months, newsflow has suggested progress and we expect a decision by the AGM on 25 June, which could drive a meaningful rerating.

[Pirelli: From pit lane to championship corner. A Primer on our new Outperform](#)

[Pirelli: Best Idea Q2 2026 - From pit lane to championship corner \(Outperform\)](#)

We rate Bridgestone Outperform. The structural growth story from premiumisation is highly attractive and, coupled with restructuring, we expect earnings growth ahead of consensus. In this industry, the market values shareholder returns and Bridgestone is committed to a ~6% yield this year and could increase the buyback after August.

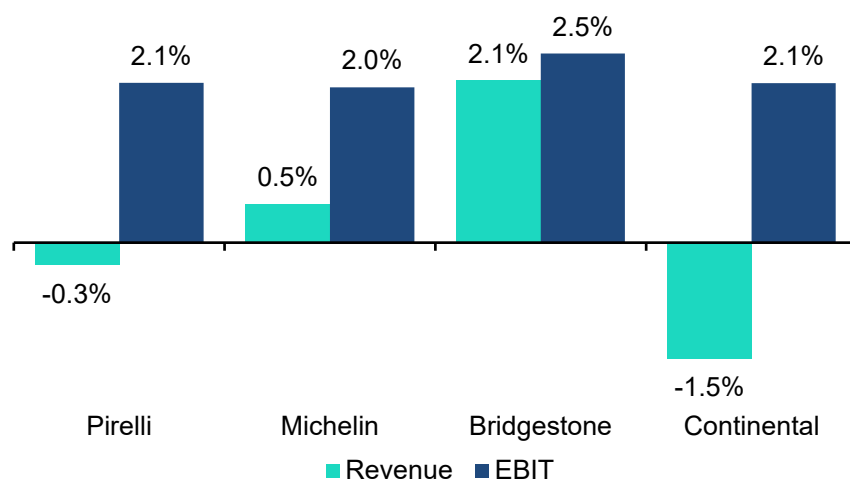
[Bridgestone Primer: Starting on the path to ENLITEN-ment \(Outperform\)](#)

We rate Continental Market-Perform. We continue to like the tyre industry structurally but see downside risk for Continental. Its lower premium mix and historically volume-focused expansion model means lower pricing power than peers which has contributed to material margin decline since 2017, a period where industry volumes have shrunk and raw material inflation has accelerated. At today's share price the RemainCo is valued at ~8x EBIT, a small premium to Michelin which in our view looks fair.

[Continental: Road to tyre pureplay almost complete - ContiTech sale agreed at €4bn](#)

[Global Tyres 2026 Outlook: A race to be won. Upgrade Pirelli to Outperform, Conti to Market-Perform. Michelin remains top pick](#)

We would like to acknowledge the valuable contribution of Douae Doukkali in the preparation of this report

EXHIBIT 1: **Q2: Bernstein vs Consensus****Bernstein vs Consensus: Q2 2026**

Michelin EBIT is for H1 2026

Source: Bloomberg, Company compiled consensus (Pirelli), Visible Alpha, Bernstein estimates & analysis

Related Research**On the Industry**[Global Tyres: EU confirms tariffs on Chinese passenger vehicle tyres](#)[Global Tyres: Why has the North American tyre market been so weak?](#)[Global Tyres 2026 Outlook: A race to be won. Upgrade Pirelli to Outperform, Conti to Market-Perform. Michelin remains top pick](#)[Global Tyres: Rubber Wars](#)[Global Tyres: Have premium players pushed prices too high?](#)[Global Tyres Primer: 101 on Competition, Capital allocation & How to invest in the sector](#)[Global Tyres: Deglobalization ... It's a Big World After All. Tier 1s even better set for the next decade](#)[European Auto Suppliers: Initiating on Tyres - A gripping journey](#)**Company Specific**[Continental: Road to tyre pureplay almost complete - ContiTech sale agreed at €4bn](#)[Michelin: Nunc est Bibendum. A Primer on our new top pick in Tyres \(Outperform\)](#)[Pirelli: From pit lane to championship corner. A Primer on our new Outperform](#)[Pirelli: Best Idea Q2 2026 - From pit lane to championship corner \(Outperform\)](#)[Continental: The Fracture Complete - Now a Rubber Pureplay. Target price to €50 \(12% downside\)](#)

[Continental: After The Fracture is ContiTech the real hidden upside? We think no](#)

[Bridgestone Primer: Starting on the path to ENLITEN-ment \(Outperform\)](#)

On Q2

[Quick Take: Michelin Q2 2026 Briefing - Prior guidance & consensus look achievable](#)

[Continental Q2 2026 Briefing: Q2 within guidance range on strong \(tariff refund-aided\) tyre margins](#)

DETAILS

Q2 SECTOR NEWS/FITMENT WINS

Tyre Fitments

- [Continental](#) will supply the new A-segment BEV Renault Twingo with its 18" EcoContact 7 tyres.
- [Pirelli](#) has developed two custom Pirelli P Zero tyres in collaboration with BMW for the new iX3, the first of the German OEM's new Neue Klasse series.
- [Bridgestone](#) chosen as exclusive tyre partner for Maserati MCUPRA super sports car.
- [Michelin](#) has developed its premium comfort tire, the Michelin Primacy 5 energy, with Toyota for the Japanese group's Alphard and Vellfire models.
- [Bridgestone](#) chosen as exclusive tyre partner for Lamborghini Fenomeno Roadster.
- [Continental](#) received original equipment approvals for the Volkswagen's new T-Roc

Capacity Changes

- [Pirelli](#) announced a multi-year investment plan for the US of between approximately €1.0-1.2bn. This will likely take shape as an expansion in capacity of its existing Georgia plant.
- [Michelin](#) intends to completely ramp down production at its BFGoodrich Tuscaloosa plant by the end of 2028, with all operations to be consolidated at the plant in Fort Wayne.
- [Continental](#) inaugurates Expansion of its Tire Plant in Rayong, Thailand. This will add annual capacity of 3 million passenger car and light truck tires.

Other News

- [Continental](#) sells ContiTech to Lone Star Funds at an enterprise value of €4bn to become a pure-play tire manufacturer. See our recent report ([link](#)).
- [Bridgestone](#) presented at the 41st Space Symposium the progress of its development of tyres for small and medium-sized lunar rovers.
- [Doublestar](#) has completed the acquisition of Kumho.
- [The EU](#) issued its long-awaited Definitive Measures from the antidumping investigation into Chinese tyres for the passenger vehicle industry. For producers other than Hankook this results in tariffs of 24-45% effective immediately. See our recent report ([link](#)).

EXHIBIT 2: Renault approves Continental's 18-inch EcoContact 7 for the new all-electric Renault Twingo worldwide



Source: Company website

EXHIBIT 3: 2 Custom Pirelli P Zero tyres have been developed in collaboration with BMW for the new iX3, the first of the German OEM's new Neue Klasse series



Source: Company website

EXHIBIT 4: Bridgestone is the sole tyre partner for Maserati's new super sports car MCPURA



Source: Company website

EXHIBIT 5: Michelin Primacy 5 fitted on the Toyota Vellfire



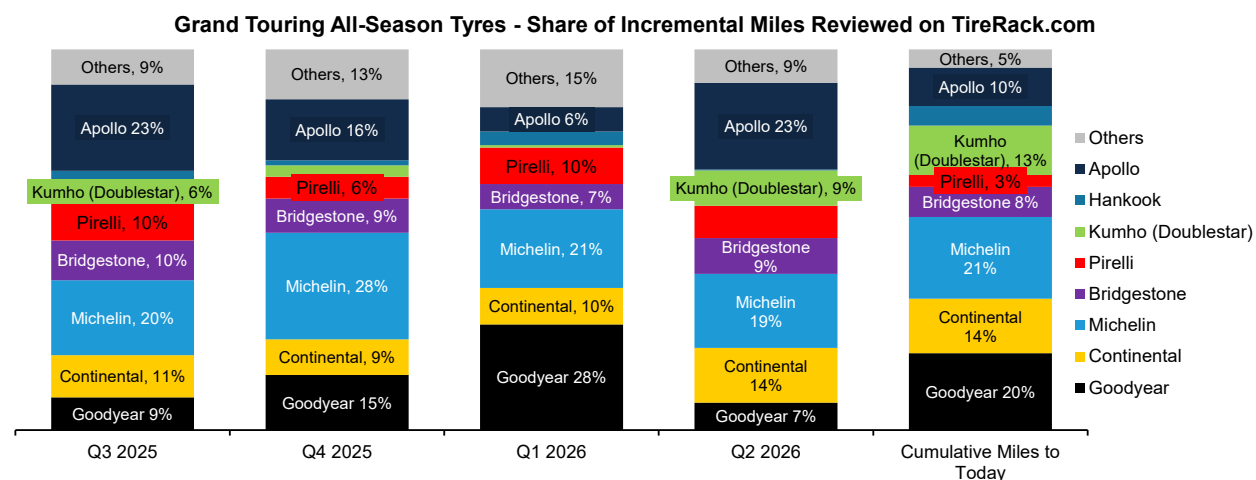
Source: Company website

OUR PROPRIETARY ANALYSIS OF RECENT TYRE USAGE REVIEW DATA (IN THE US)

As we introduced in our initiation report ([Link](#)), using live review data from Tire Rack we can get a proxy for market share of miles driven by tyre manufacturer. Looking at three major segments (Grand Touring All Season, Max Performance Summer and Ultra High Performance All Season) we find the following implied by incremental reviews since January (ie in Q1):

- **Overall.** All four segments continue to be highly consolidated towards the Tier 1s, with limited share gains from Challenger peers. Exceptions to this include some review share gain from Kumho in Grand Touring All-Season and Hankook in Ultra High Performance All-Season. Share can jump around quarter to quarter due to rounding, but in Q2, Continental saw notable gains in Grand Touring All-Season, Pirelli gained in Ultra High Performance All Season and Michelin was strong in Max Performance Summer.
- **GT All Season.** Incremental miles driven in Q2 saw review share gains from Continental. Michelin's CrossClimate2 continues to be category leader with the most incremental miles in absolute terms. Continental General AltiMAX RT45 also continues to take a good share of reviews. Kumho's Solus tyre took a good share of reviews historically, but have seen limited new reviews in recent quarters. Apollo saw a big uptick in its share of reviews after a few declining quarters, mostly driven by the Vredestein HiTrac All Season and the Vredestein Quatrac Pro+.
- **Ultra High Performance All Season:** Continental continues to dominate this segment, driven by the ExtremeContact DWS 06 Plus launched in 2021. Michelin's Michelin Pilot Sport All Season 4 has historically been a key player in the segment but did not gain any significant incremental review share in Q2.
- **Max Performance Summer:** Reviews in this category are lumpier. Michelin rebounded in Q2 thanks to the Michelin Pilot Sport 4S after losing share in Q1 to Pirelli, Hankook and Yokohama. Historically, the Tier 1s dominate this segment, with a 92% share of all reviews left on Tire Rack to date.

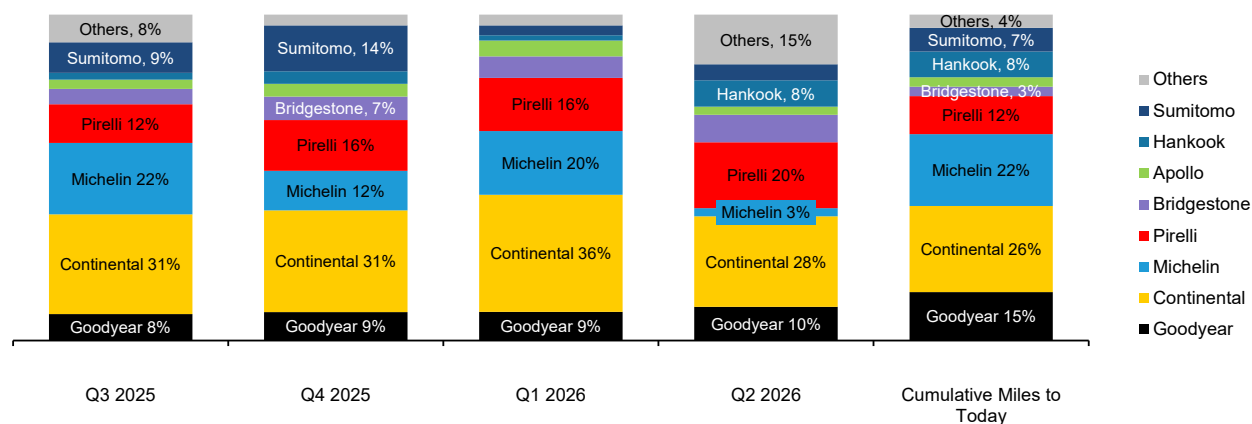
EXHIBIT 6: Continental and Bridgestone gained incremental review share in Q2 driven by the Bridgestone WeatherPeak and General AltiMAX RT45 respectively.



Source: Tire Rack, Bernstein analysis

EXHIBIT 7: Continental continues to dominate this segment, driven by the ExtremeContact DWS 06 Plus launched in 2021. Although Pirelli made some incremental gains in Q2 thanks to the Pirelli P Zero All Season and the Pirelli P Zero All Season Plus 3.

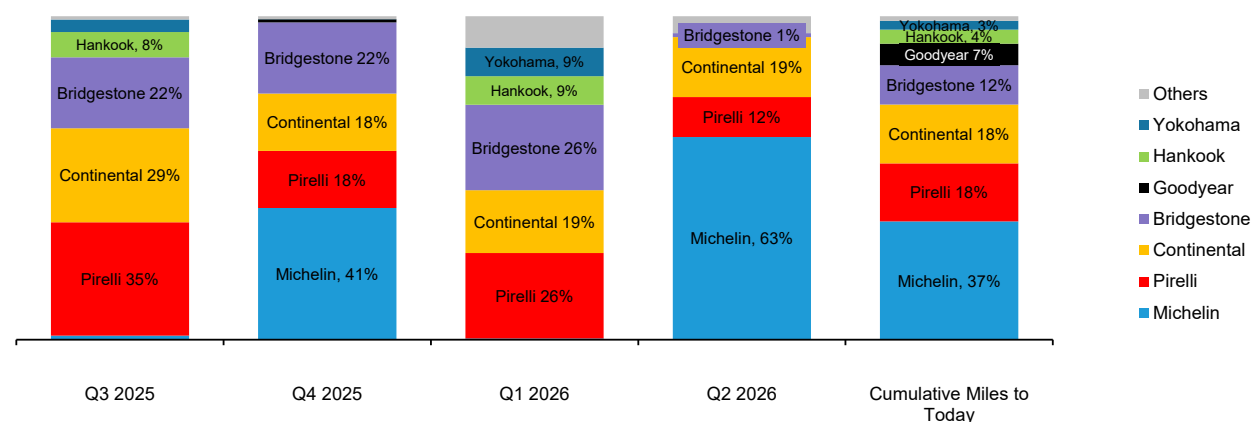
Ultra High Performance All Season tyres - Share of Incremental Reviews on TireRack.com



Source: Tire Rack, Bernstein analysis

EXHIBIT 8: Reviews in the Max Performance Summer category are lumpier. Michelin rebounded in Q2 after a weak Q1 thanks to the Michelin Pilot Sport 4S. Historically, Tier 1s dominate this segment, with a 92% share of all reviews left on the Tire Rack to date.

Max Performance Summer tyres - Share of Incremental Reviews on TireRack.com (live SKUs)



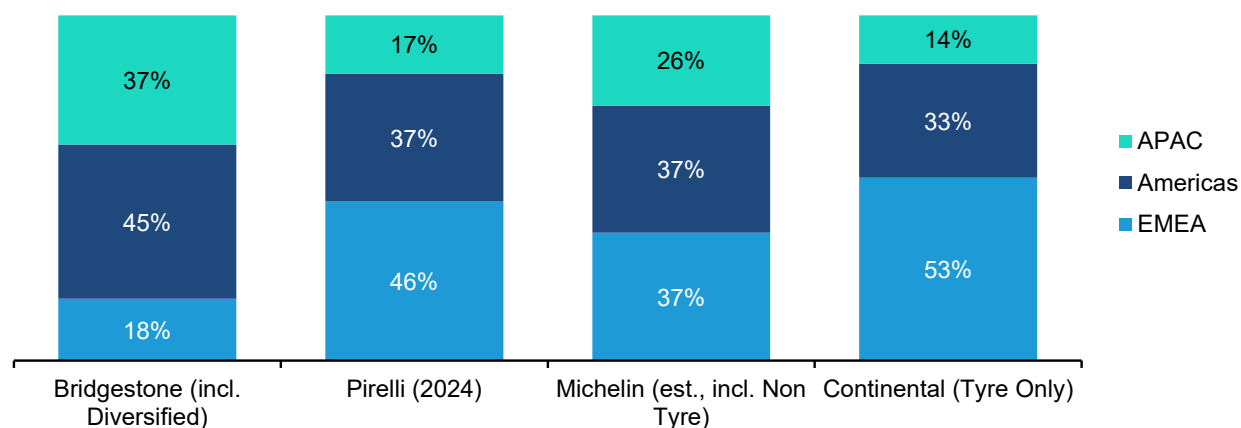
Source: Tire Rack, Bernstein analysis

VOLUMES

Revenue Exposure

EXHIBIT 9: **Bridgestone has a greater exposure to APAC than peers, Continental and Pirelli are more exposed to Europe, and Michelin is most exposed to North America**

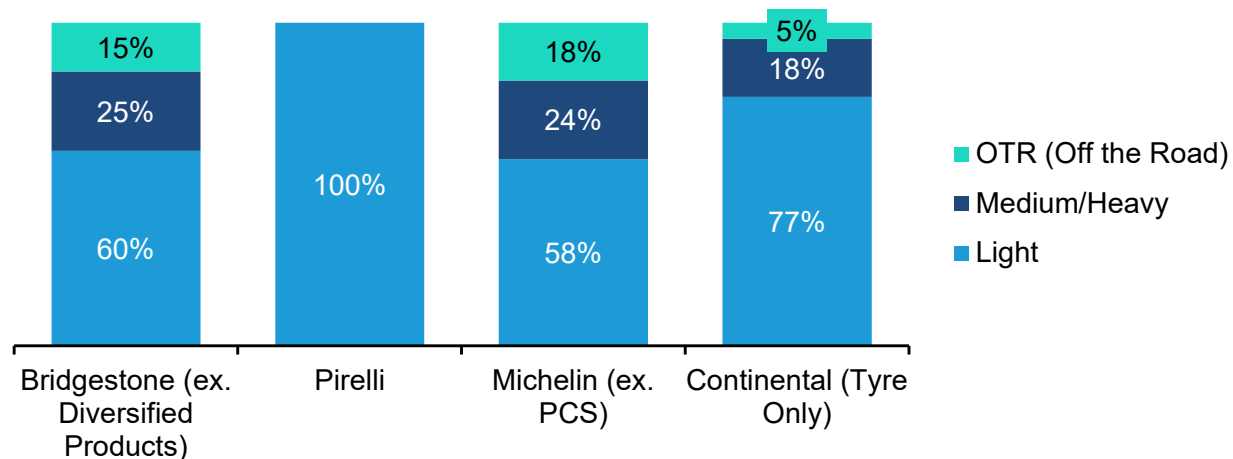
Tyres 2025 Geographic Exposure



Source: Company reports, Bernstein estimates & analysis

EXHIBIT 10: **Pirelli is a passenger car pureplay. Conti skews mostly to passenger cars. Michelin and Bridgestone have a similar exposure to Truck/Bus, and Michelin has the largest Off the Road exposure**

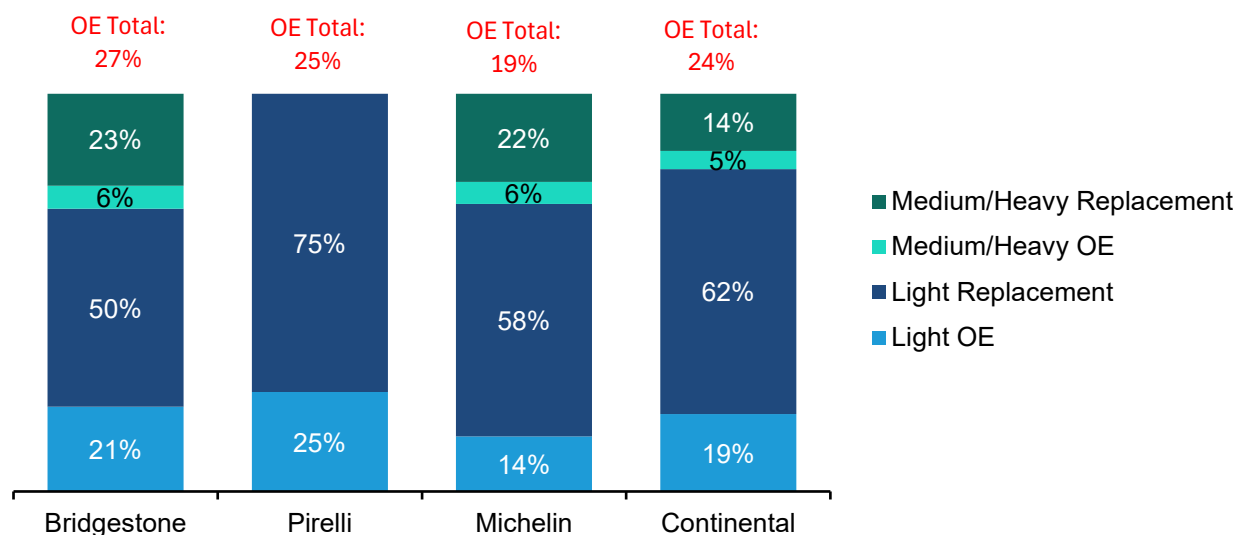
Tyres 2025 Exposure by Vehicle Type



Source: Company reports, Bernstein estimates & analysis

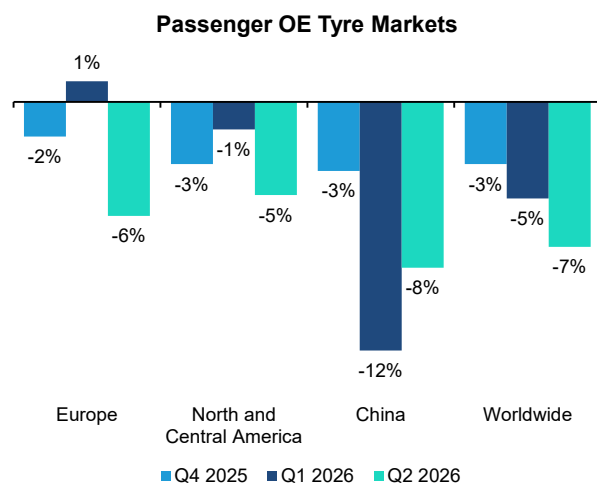
EXHIBIT 11: **Within passenger and truck tyres, Bridgestone has the largest exposure to OE, while Michelin has the smallest exposure**

Estimated 2025 Passenger and Truck Tyres Revenue Split

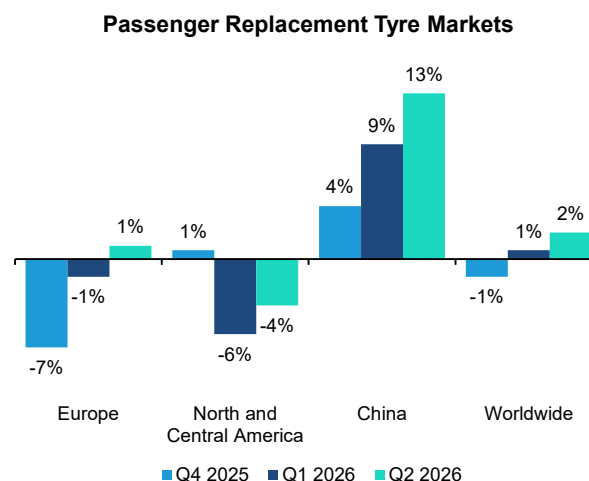


Source: Company reports, Bernstein estimates & analysis

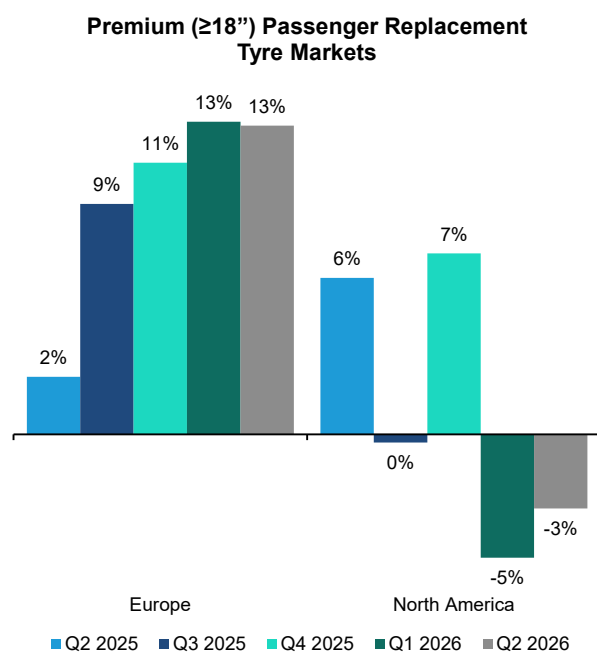
Market Data

Passenger**EXHIBIT 15: OE markets have been weak across Europe, North America and China for the first two months of Q2**

Quarterly figures are average of disclosed monthly figures
Source: Michelin reports, Bernstein analysis

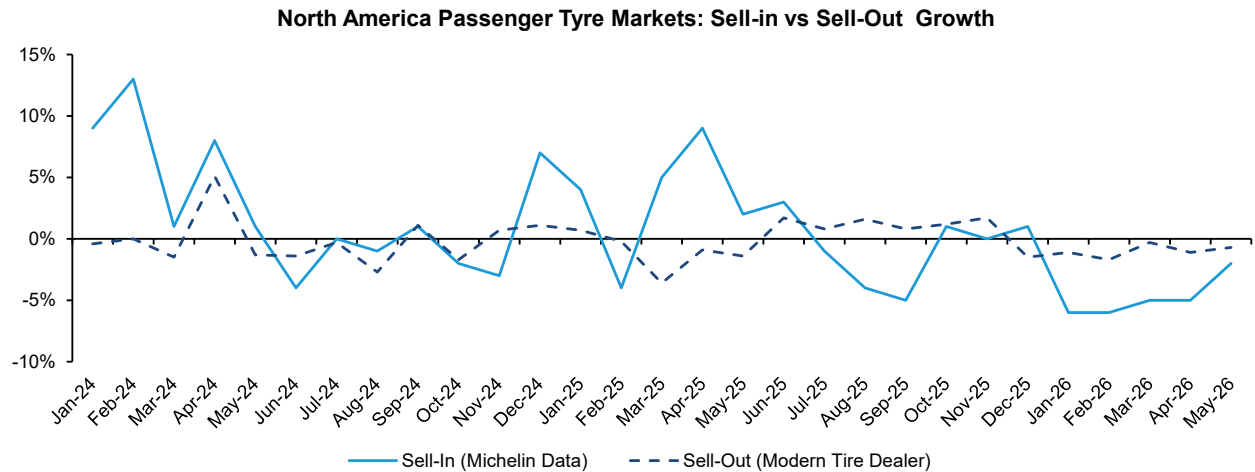
EXHIBIT 16: Passenger replacement markets so far are up in Q2 in Europe and China, but have remained weak in North America

Quarterly figures are average of disclosed monthly figures
Source: Michelin reports, Bernstein analysis

EXHIBIT 17: As in Q1, so far in Q2 there has been a wide gap between premium passenger replacement markets in Europe (up double digits) and North America (-3%)

Quarterly figures are average of disclosed monthly figures
Source: Pirelli reports, Bernstein analysis

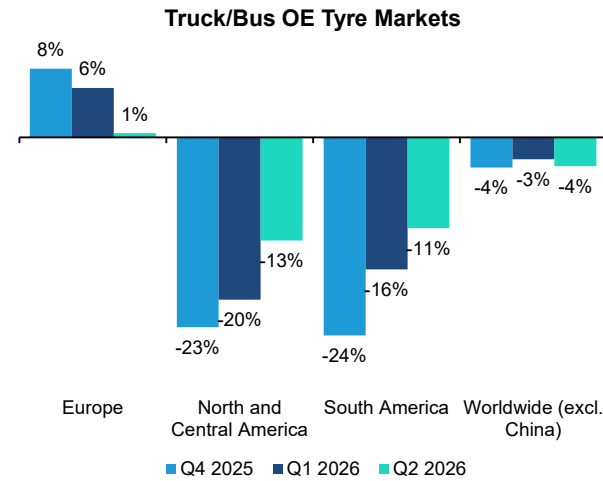
EXHIBIT 18: **Sell-out from dealers has been negative through 2026, driving the weaker sell in data**



Source: Company reports, Modern Tire Dealer, Bernstein analysis

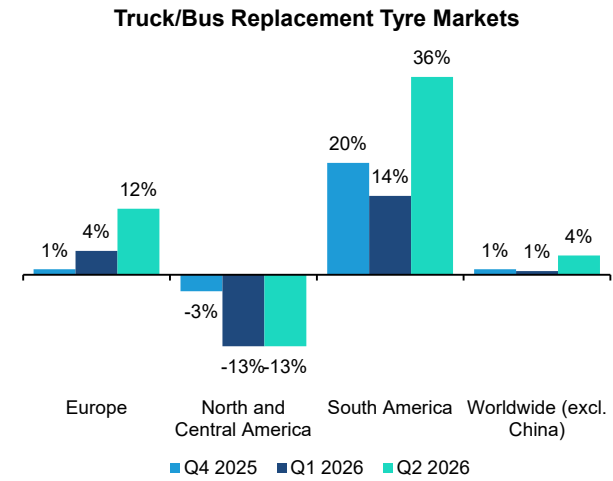
Truck & Bus

EXHIBIT 19: **Truck/Bus production is slightly positive in Europe in Q2, however it is still very weak in the Americas**



Quarterly figures are average of disclosed monthly figures
Source: Michelin reports, Bernstein analysis

EXHIBIT 20: **North America truck/bus replacement markets have continued to be very weak in Q2, but Europe has seen a large uptick over the last 2 quarters.**



Quarterly figures are average of disclosed monthly figures
Source: Michelin reports, Bernstein analysis

PRICING/COST INFLATION

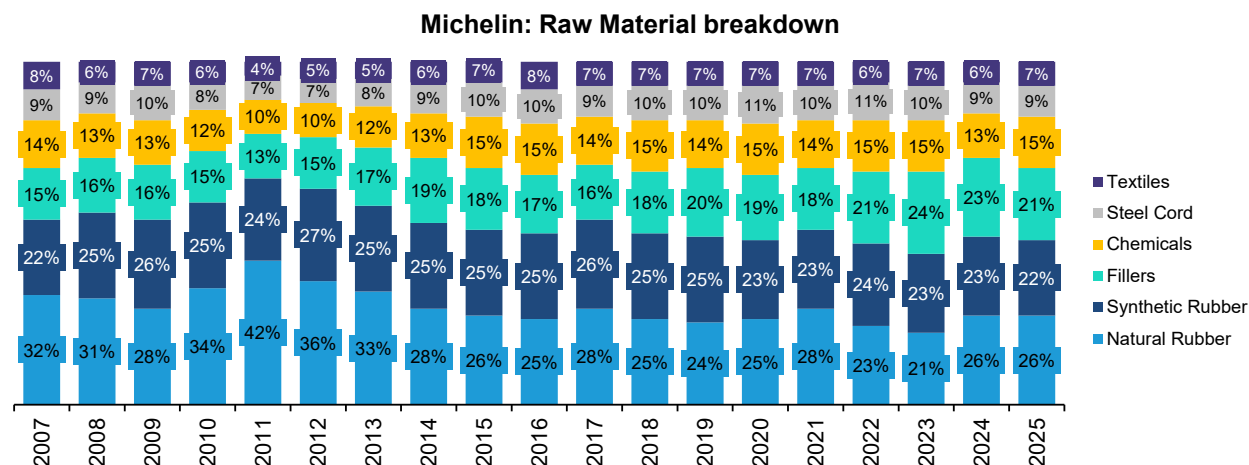
Raw Materials

Introduction to tyre makers' raw materials basket. Rubber, fillers (primarily carbon black and precipitated silica), steel cord, and some other chemical particulates which are primarily oil derivatives are the major components of a tyre and of the companies' raw material basket ([Exhibit 21](#)). The tyre companies have some long-term contracts on commodities as well as some indexation clauses in some contracts which can mean lags between spot prices moving and changes to the cost base or prices. Specifically on cost, Michelin says "changes in natural rubber and butadiene prices feed through to the income statement around three to six months later".

The key raw materials we track: The most important raw materials for the tyre makers are oil which affects the price of butadiene which is synthetic rubber (22% of the raw material basket), chemicals which are mostly oil derivatives (15%) and some of the fillers (21%) like carbon black. We also track the price of natural rubber, which accounts for 26% of the tyre makers' raw material costs, as well as hot rolled steel, made to use the steel cord, which accounts for 9% of raw material costs. There is typically a lag between prices hitting the cost base to passing them on through price of around 6 months.

Inflationary cost base. The tyre makers' cost base is coming under pressure following events in Iran. Much of the raw material basket is exposed to the oil price (particularly synthetic rubber, carbon black). Inflation has increased over the quarter, with March seeing steeper YoY increases (oil +42%, steel +18%, natural rubber +3%). Tyre makers went into the year expecting raw materials to be a tailwind over the full year. While they are still likely a tailwind in H1 given the lag between price inflation and impact on cost basket, this now likely turns to a headwind in H2. Pirelli recently announced that given the volatility of input costs and raw materials, the company now expects 2026 adjusted EBIT at the bottom end of guidance. However, while Pirelli and the other tyre makers may see a negative impact from raw material costs in H2, we expect they will be able to fully offset them through price over the mid-term. Tyre makers have historically demonstrated good pricing power - Michelin has actually increased LFL pricing ahead of cost inflation ([Exhibit 28](#)) not behind it.

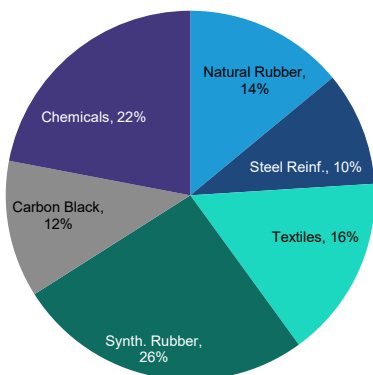
EXHIBIT 21: **Key raw materials for tyres include natural rubber, steel and oil**



Source: Company reports, Bernstein analysis

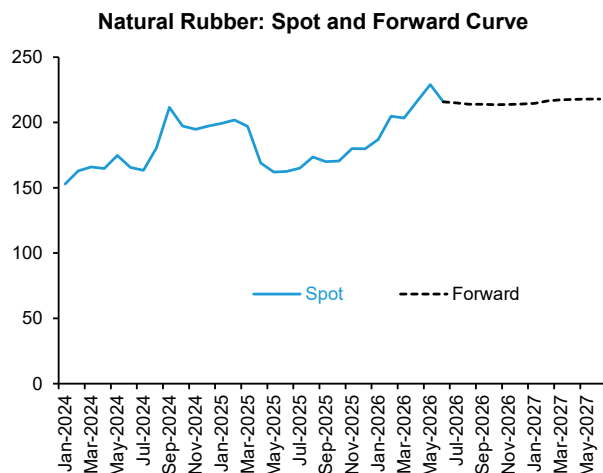
EXHIBIT 22: **Within raw materials, we expect synthetic rubber (26%) and carbon black (12%) are most exposed to the oil price**

Pirelli: FY 2024 Raw Materials Mix



Source: Company reports, Bernstein analysis

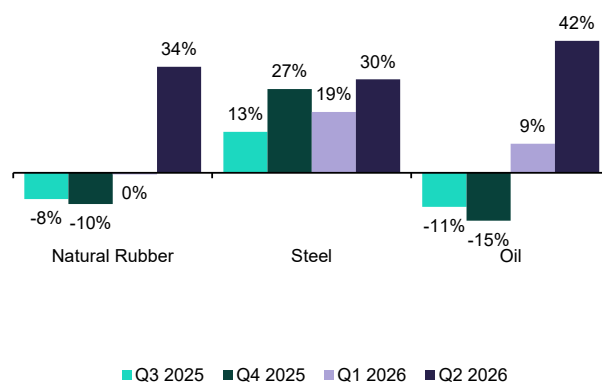
EXHIBIT 24: **Spot natural rubber will be up meaningfully in H2**



Source: Bloomberg, Bernstein analysis

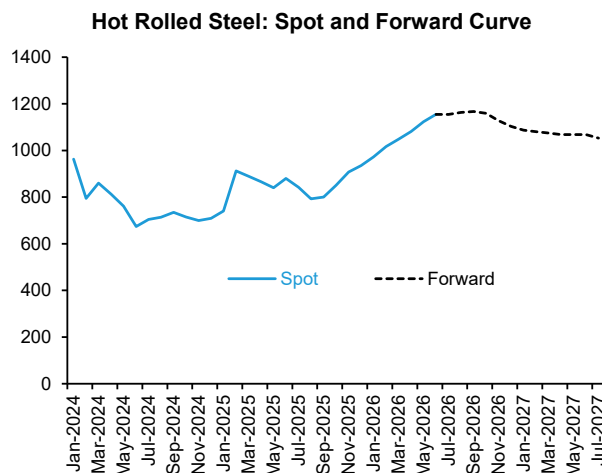
EXHIBIT 23: **The tyre makers' cost base is increasing driven by Iran, with prices rising more towards the end of Q1 and through Q2**

YoY Change in Spot/Forward Price



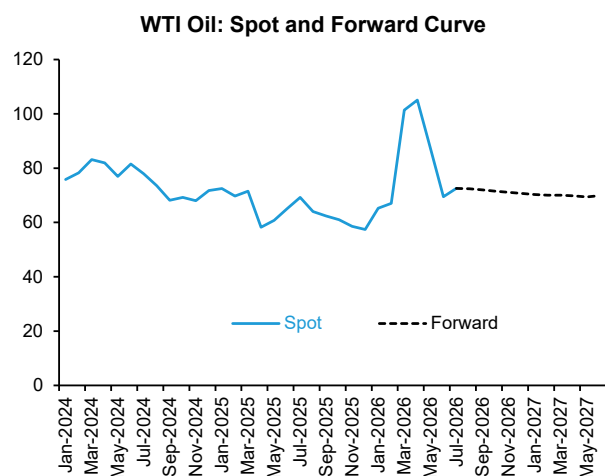
Source: Bloomberg, Bernstein analysis

EXHIBIT 25: **Steel prices are up YoY driven by tariffs and Iran, set to peak in H2**



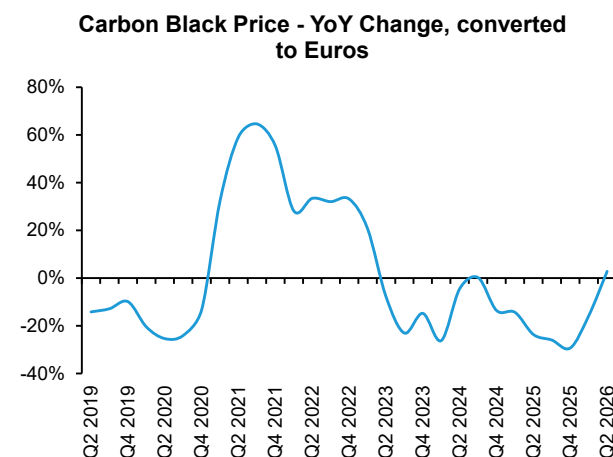
Source: Bloomberg, Bernstein analysis

EXHIBIT 26: Oil prices were +42% YoY in March, although have normalised down a bit since then



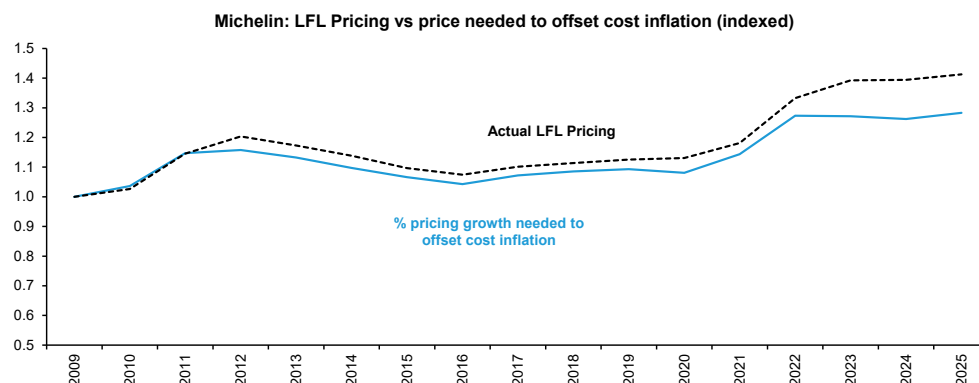
Source: Bloomberg, Bernstein analysis

EXHIBIT 27: The carbon black price was +3% YoY in Q2



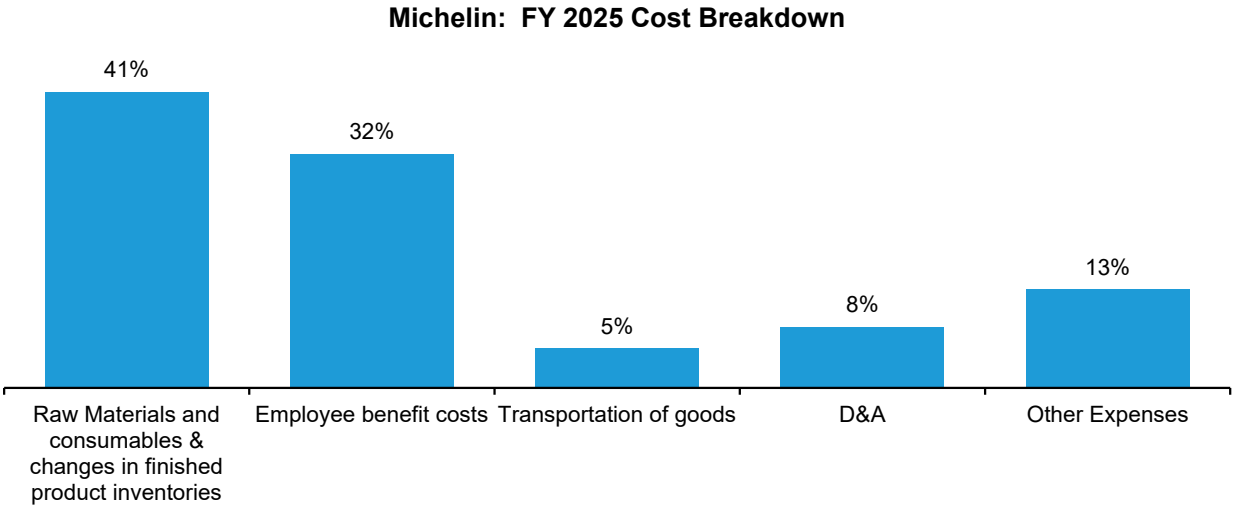
Source: Bloomberg, Bernstein analysis

EXHIBIT 28: Over the long-term tyre makers have passed >100% raw material cost inflation through in price. While tyre makers might see some short-term timing headwinds from Iran, we expect them to be able to fully offset raw material price increases in the mid-term.



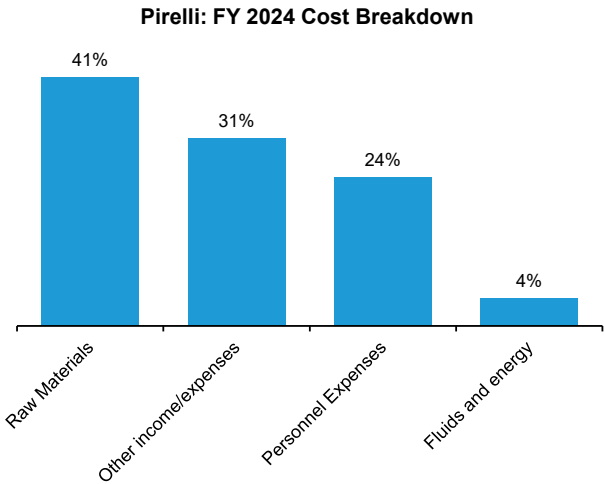
Source: Company reports, Bernstein analysis

EXHIBIT 29: In 2025, 41% of Michelin's costs were raw materials, and 5% were transportation of goods



Source: Company reports, Bernstein analysis

EXHIBIT 30: In 2024, 41% of Pirelli's costs were raw materials and 4% were fluids & energy

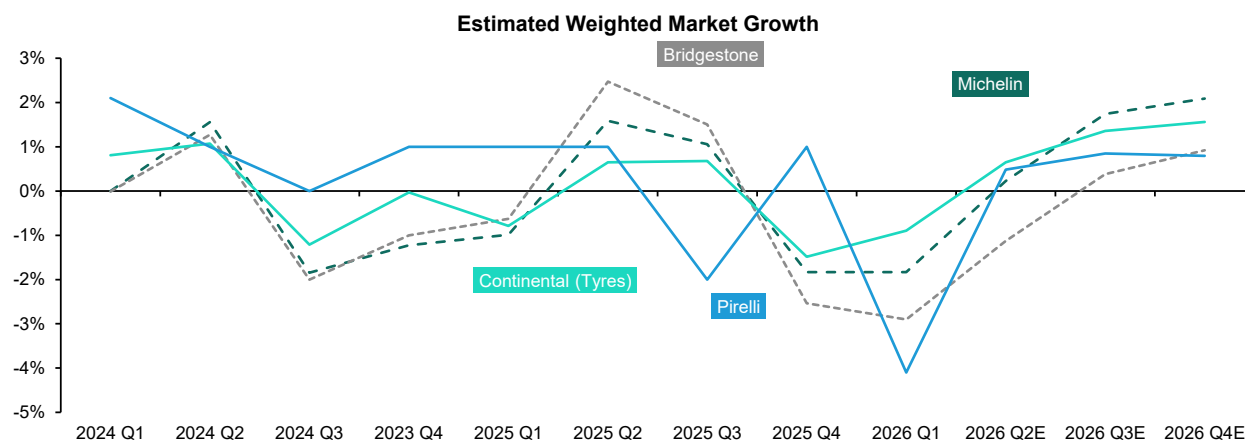


Doesn't include financial income/expenses
Source: Company reports, Bernstein analysis

ESTIMATE SUMMARY

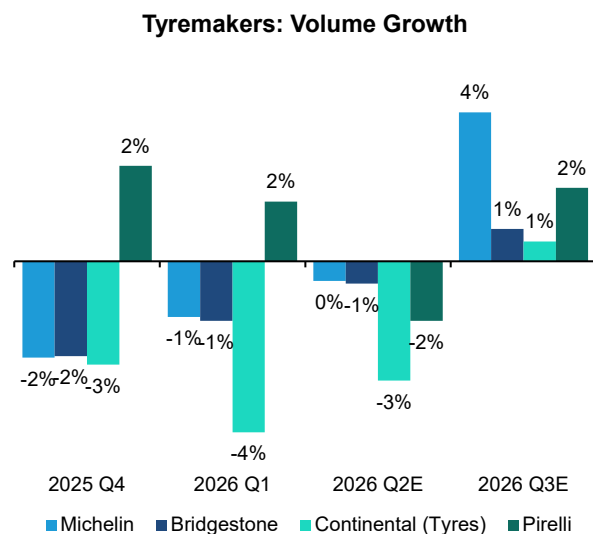
Quarterly

EXHIBIT 31: In Q2, we see the worst market exposure for Bridgestone, most affected by weak passenger replacement markets and weak OE truck production in North America, as well as weak truck replacement and OE production in Japan. Continental has the best exposure with the highest relative exposure to Europe where markets have been stronger in Q2.



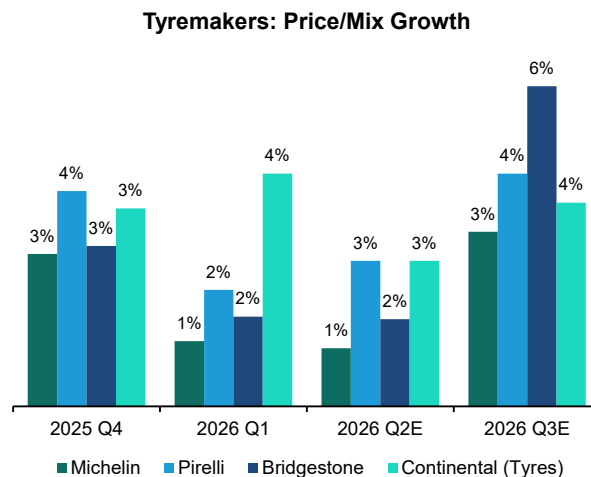
Source: Company reports, S&P, Bernstein estimates & analysis

EXHIBIT 32: In Q2, we expect all our coverage to see declines in volume. We expect a rebound in Q3.



Source: Company reports, Bernstein estimates & analysis

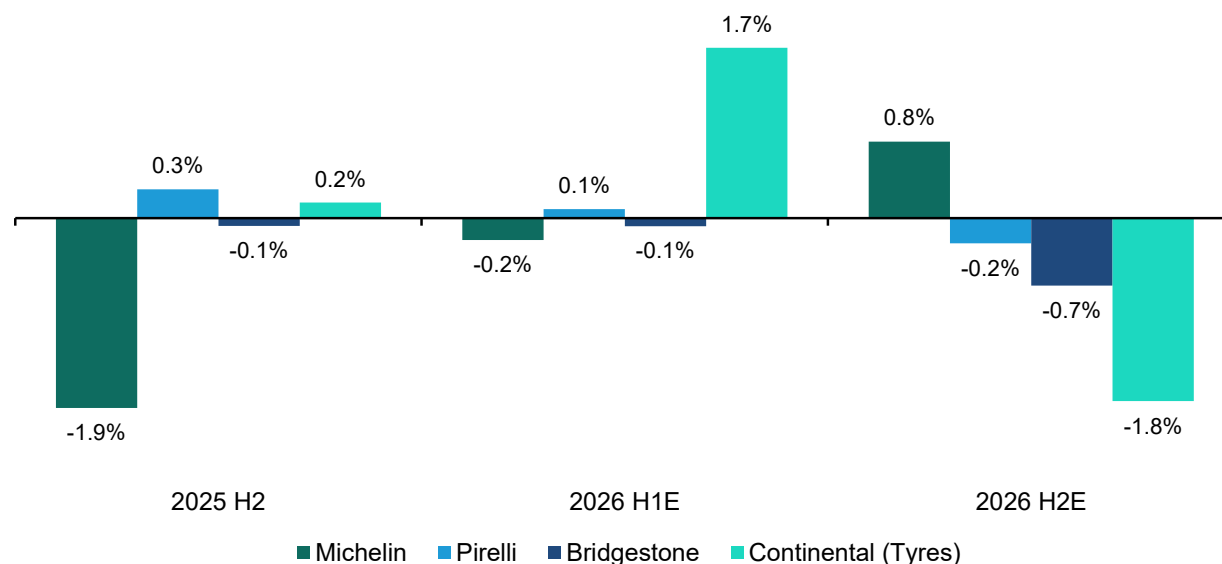
EXHIBIT 33: We expect all to deliver another good quarter for price/mix



Source: Company reports, Bernstein estimates & analysis

EXHIBIT 34: In H1, we expect a relatively closer performance in margins, with the exception of Continental who is benefitting from price/mix effects from strong ultra-high performance volumes. In H2, we expect all to be negatively impacted by raw material headwinds, partially offset for Michelin and Bridgestone by a recovery in Truck/Specialty volumes.

Tyremakers: Adjusted EBIT Margin YoY Growth

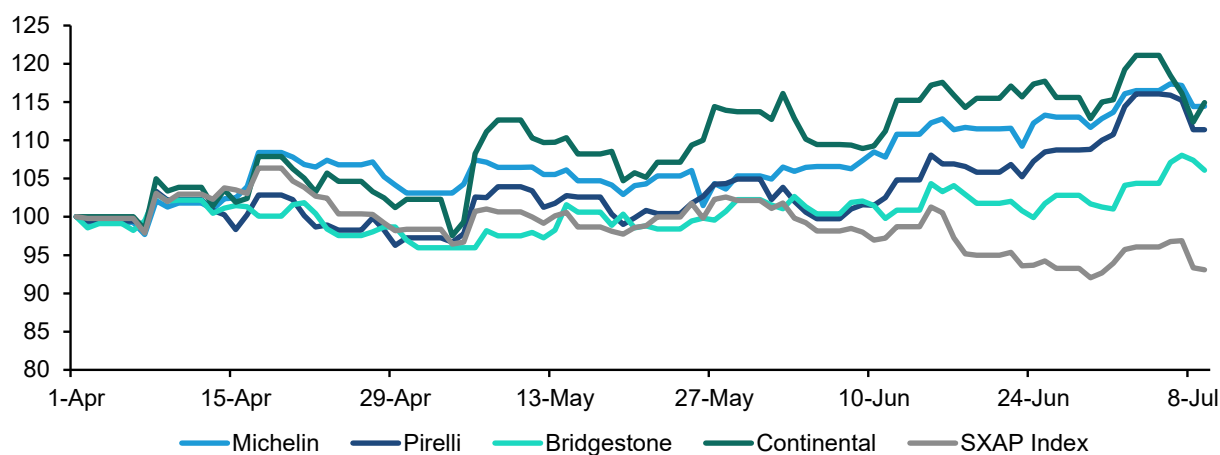


Source: Company reports, Bernstein estimates & analysis

RECENT STOCK PERFORMANCE

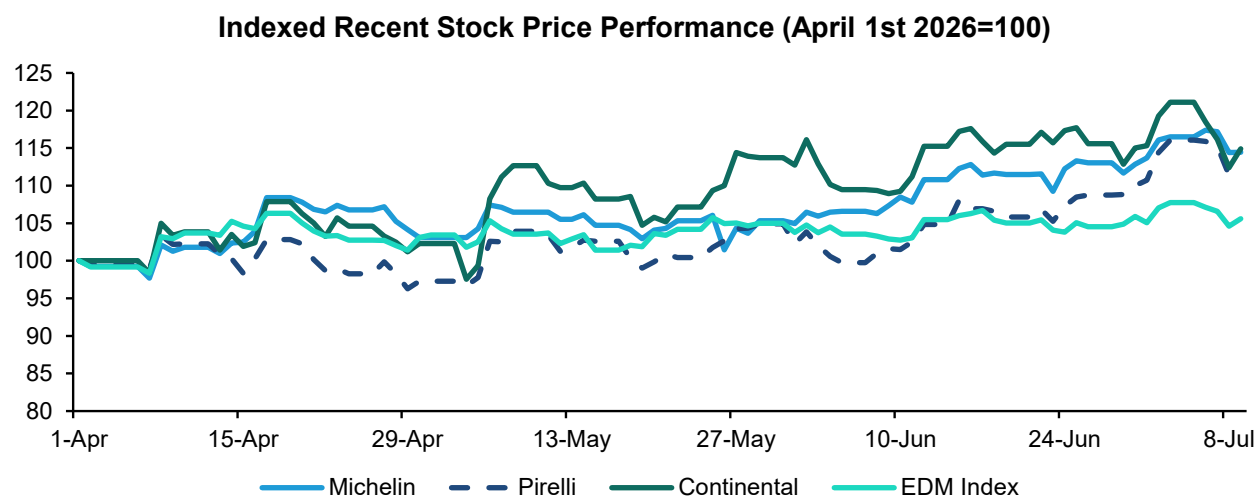
EXHIBIT 35: In Q2 tyremakers have meaningfully outperformed other auto-related stocks, driven by a relative flight to quality

Indexed Recent Stock Price Performance (April 1st 2026=100)



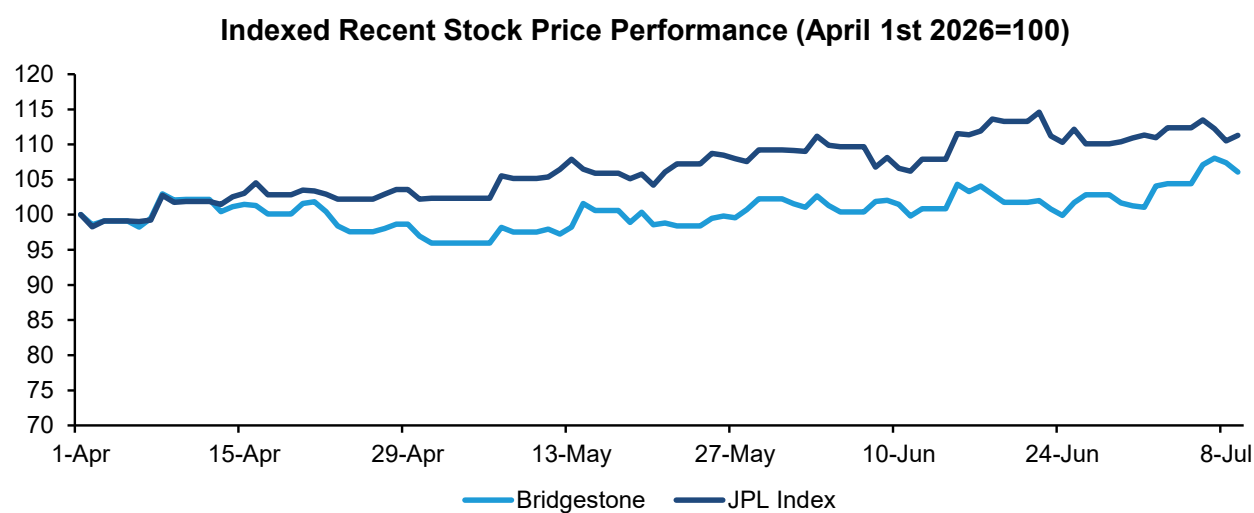
Source: Bloomberg, Bernstein analysis

EXHIBIT 36: **After underperforming in Q1 they have also outperformed the wider EU stock market in recent months**



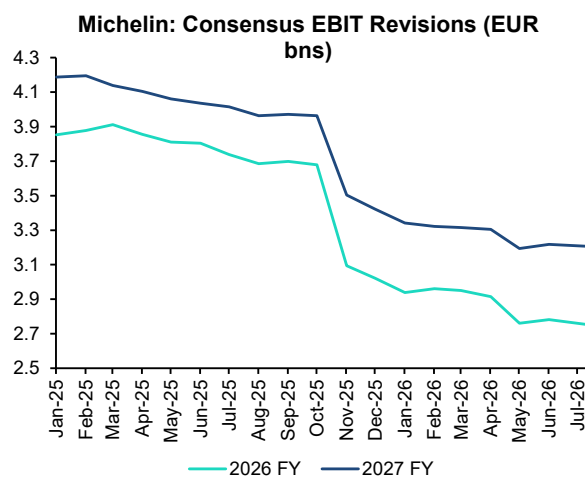
Source: Bloomberg, Bernstein analysis

EXHIBIT 37: **Bridgestone however underperformed the JPL index**



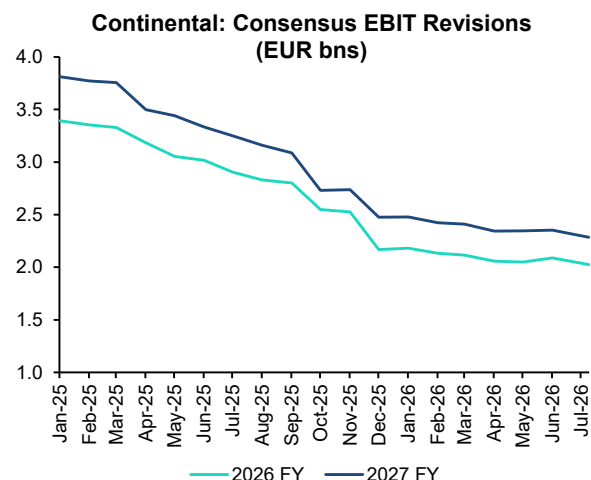
Source: Bloomberg, Bernstein analysis

EXHIBIT 38: Michelin estimates came down in November following the profit warning, and have continued to come down slightly since then



Source: Bloomberg, Bernstein analysis

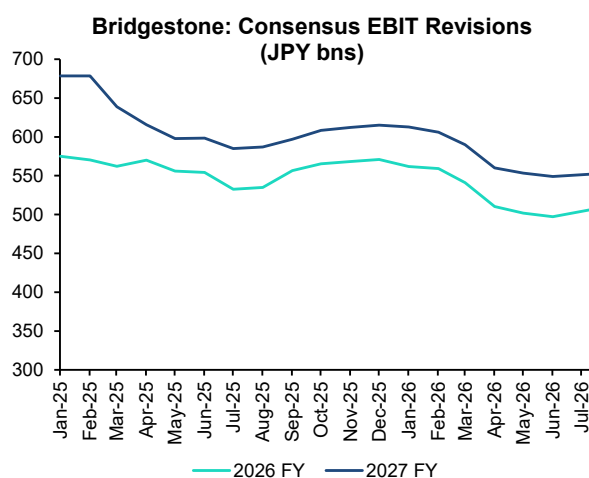
EXHIBIT 39: Continental estimates have been repeatedly revised downwards, as ContiTech has faced weak markets and Continental gave 2026 guidance below consensus



NB: Continental impacted by the Aumovio Spin-Off

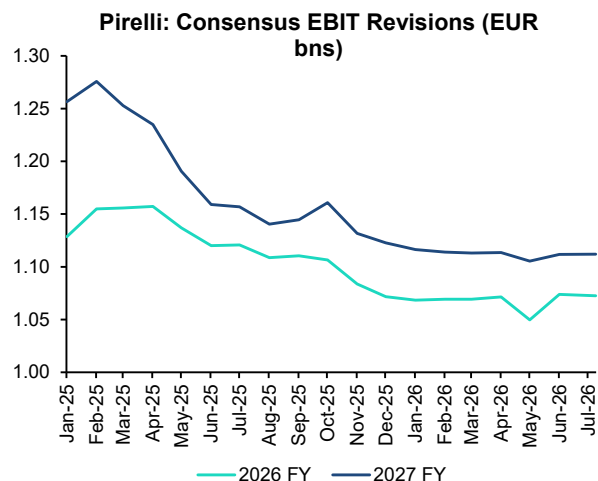
Source: Bloomberg, Bernstein analysis

EXHIBIT 40: Bridgestone 2026 estimates are down 11% since the start of the year, in line with an EBIT guide set 10% lower than consensus at the FY results



Source: Bloomberg, Bernstein analysis

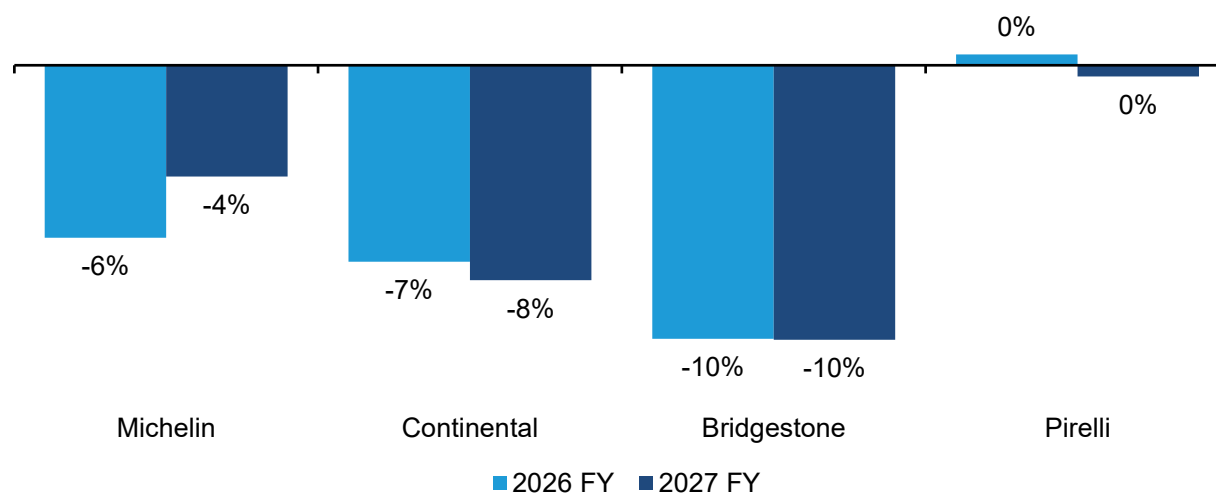
EXHIBIT 41: Pirelli estimates have come down slightly since the beginning of 2025. Pirelli recently announced it expected to achieve the lower end of 2026 guidance given headwinds from Iran on costs



Source: Bloomberg, Bernstein analysis

EXHIBIT 42: **Since the beginning of the year, all the tyre makers have seen small negative revisions to guidance. Bridgestone has seen the biggest cuts driven by a 2026 guide below consensus.**

Change to Consensus EBIT Forecasts Since Jan 1st 2026



Source: Bloomberg, Bernstein analysis

Q2 ESTIMATES VS CONSENSUS

EXHIBIT 43: Bridgestone: Estimates vs Consensus

2026 Q2	Actual	BERNe	Consensus	BERNe vs Cons
YENbn	2025 Q2	2026 Q2E	2026 Q2E	
Group Sales	1,058	1,162	1,138	2.1%
Volume	-1.0%	-0.6%		
Price	0.9%	0.5%		
Mix (assume 60% droptthrough)	1.0%	1.0%		
FX	-5.8%	8.8%		
Scope	0.0%	0.0%		
Total	-4.9%	9.8%		
Adjusted EBIT	123.2	128.3	125.2	2.5%
Adjusted EBIT Margin	11.6%	11.0%	11.0%	0.0%
Diluted EPS	58.8	75.1	72.3	3.8%
Japan Revenue	304	295	309	(4.5%)
Americas Revenue	515	588	568	3.5%
Europe, Middle East, Africa Revenue	205	229	213	7.3%
China, APAC Revenue	123	139	128	8.8%
Working Capital	-22	23		
Operating Cash Flow ex. Working Capital	121	172		
Net Capex	-47	-61		
Free Cash Flow	53	134		

Source: Company reports, Bloomberg, Bernstein analysis and estimates

EXHIBIT 44: Continental: Estimates vs Consensus

2026 Q2	Actual	BERNe	Consensus	BERNe vs Cons
€m	2025 Q2	2026 Q2E	2026 Q2E	
Group Revenue	4,853	4,354	4,421	(1.5%)
Adjusted EBIT (before IFRS 5)	418	526	515	2.1%
Adjusted EBIT Margin	8.6%	12.1%	11.7%	0.4%
Tires Volume	-1.8%	-3.0%		
Tires Price/Mix	3.2%	2.5%		
ContiTech Organic growth	-1.4%	0.5%		
Tires Total Revenue	3,332	3,322	3,324	(0.1%)
ContiTech Total Revenue	1,560	1,061	1,128	(5.9%)
Tires Adjusted EBIT	401	479	469	2.1%
ContiTech Adjusted EBIT (before IFRS 5)	91	76	79	(4.6%)
Tires Adj. EBIT Margin	12.0%	14.4%	14.1%	0.3%
ContiTech Adj. EBIT Margin	5.8%	7.1%	7.0%	0.1%
Working Capital Cashflow	-135	-198		
Operating Cash Flow ex. Working Capital	360	608		
Net Capex	-271	-312		
Adjusted Free Cash Flow	-46	99		

Source: Company reports, VA consensus, Bernstein estimates & analysis

EXHIBIT 45: Michelin: Estimates vs Consensus

2026 Q2	Actual	BERNe	Consensus	BERNe vs Cons
€mns	2025 Q2	2026 Q2E	2026 Q2E	
Total Revenue	6,513	6,670	6,636	0.5%
<i>Total Revenue Growth</i>	<i>-4.8%</i>	<i>2.4%</i>	<i>1.9%</i>	<i>0.5%</i>
Volume	-4.9%	-0.5%	-0.2%	(0.3%)
<i>Price</i>	<i>1.9%</i>	<i>-1.0%</i>	<i>0.1%</i>	<i>(1.1%)</i>
<i>Mix</i>	<i>1.3%</i>	<i>2.0%</i>	<i>1.5%</i>	<i>0.5%</i>
Price-Mix	3.2%	1.0%	1.1%	(0.1%)
Currency	-3.6%	0.3%	-0.4%	0.6%
Non-Tire	-0.4%	0.4%	0.3%	0.1%
Scope	0.8%	1.2%	0.3%	0.9%
Automotive Sales	3,552	3,625	3,603	0.6%
Road Transportation Sales	1,478	1,539	1,509	2.0%
Specialty Businesses Sales	1,152	1,064	1,180	(9.9%)
PCS Sales	331	442	357	23.7%

Source: Company reports, VA consensus, Bernstein analysis and estimates

EXHIBIT 46: Michelin: Estimates vs Consensus

2026 H1	Actual	BERNe	Consensus	BERNe vs Cons
€mns	2025 H1	2026 H1E	2026 H1E	
Segment Operating Income	1,452	1,403	1,375	2.0%
<i>Segment Operating Margin</i>	<i>11.1%</i>	<i>10.9%</i>	<i>10.8%</i>	<i>0.2%</i>
Net Income	840	906	868	4.3%
Earnings per share	1.2	1.3	1.2	5.5%
FCF (Michelin definition)	-198			
Automotive Margin	12.2%	12.2%	11.9%	0.3%
Road Margin	5.5%	5.0%	4.8%	0.2%
Specialty Margin	14.1%	13.6%	12.9%	0.7%
PCS Margin	15.9%	14.4%	14.7%	(0.3%)

Source: Company reports, company compiled consensus, Bernstein analysis and estimates

EXHIBIT 47: Pirelli: Estimates vs Consensus

2026 Q2	Actual	BERNe	Consensus	BERNe vs Cons
€m	2025 Q2	2026 Q2E	2026 Q2E	
Total Revenue	1,740	1,750	1,755	(0.3%)
Volume	0.1%	-1.5%	1.2%	(2.7%)
Price/Mix	3.9%	2.5%	2.7%	(0.2%)
FX	-4.7%	-0.2%	-3.5%	3.3%
Scope	0.0%	-0.2%	-0.3%	0.1%
Adjusted EBITDA	396	399	393	1.5%
<i>Margin</i>	<i>22.8%</i>	<i>22.8%</i>	<i>22.4%</i>	<i>0.4%</i>
Adjusted EBIT	279	282	276	2.1%
<i>Margin</i>	<i>16.0%</i>	<i>16.1%</i>	<i>15.7%</i>	<i>0.4%</i>
Net Income	137	144	142	1.1%
Free Cash Flow	254	179	303	(40.9%)

Source: Company reports, VA consensus, Bernstein analysis and estimates

2026 GUIDANCE**EXHIBIT 48: Bridgestone: 2026 Guidance**

<i>JPY bns</i>	2025 FY	2026 FYE	2026 FYE	2026 FYE
	Actual	Guide	Bernstein	Consensus
Revenue	4,429	4,500	4,855	4,615
Adj. Operating Profit	494	515	522	510
Adj. Operating Margin	11.1%	11.4%	10.8%	11.1%
Yen/\$	150	150	160	
Yen/€	170	176	184	

Source: Company reports, Bloomberg, Bernstein estimates & analysis

EXHIBIT 49: Continental: 2026 Guidance

<i>EUR bns</i>	2025 FY	2026 FYE	2026 FYE	2026 FYE
	Actual	Guide	Bernstein	Consensus
Group Sales	19.7	18.1	18.6	18.3
Group Margin	10.3%	11.8%	11.4%	11.7%
Tyres Sales	13.8	13.7	14.0	13.9
Tyres Margin	13.6%	13.8%	13.4%	14.0%
ContiTech Sales (2026 ex. OESL)	6.0	4.5	4.6	4.5
ContiTech Margin (2026 ex. OESL)	5.3%	7.8%	8.0%	7.8%
Adjusted FCF	1.0	1.0	1.3	1.3

Source: Company reports, company compiled consensus, Bernstein estimates & analysis

EXHIBIT 50: Michelin: 2026 Guidance

<i>EUR bns</i>	2025 FY	2026 FYE	2026 FYE	2026 FYE
	Actual	Guide	Bernstein	Consensus
Segment Operating Income (Actual FX)	2.7		2.9	2.8
FX Impact (BERNe)			0.0	0.0
Segment Operating Income (Constant FX)		>2025	2.9	2.8
Free Cash Flow before Acquisitions	2.1	>1.6	1.8	1.6

Source: Company reports, company compiled consensus, Bernstein estimates & analysis

EXHIBIT 51: Pirelli: 2026 Guidance

<i>EUR bns</i>	2025 FY	2026 FYE	2026 FYE	2026 FYE
	Actual	Guide (lower end)	Bernstein	Consensus
Net sales	6.8	6.8	6.9	6.8
Volume Growth	0.4%	1.5%	1.2%	1.3%
Price/Mix Growth	3.8%	2.0%	3.1%	2.8%
EBIT Margin	16.0%	16.0%	15.9%	15.9%
Net Cash Flow	0.68	0.50	0.51	0.49

Source: Company reports, Visible Alpha, Bernstein estimates & analysis

SUMMARY CHANGES TO MODELS

We update our models for the latest market data and FX rates. Most companies are indicating that Q2 FX effects are incrementally better than initially assumed, primarily down to the stronger US dollar in recent weeks.

Idiosyncratic factors by company: Bridgestone sees a significantly positive impact from the latest FX rates, we revisit our volume assumption for Michelin and adjust our long-term assumptions, Pirelli volumes are slightly worse than we had previously estimated, but this is more than offset by more favorable FX effects.

Although we are not revising our Continental estimates in this note, on 6th July we updated our numbers and target price off the back of the announcement of the €4bn enterprise value valuation at which Lone Star Funds will be acquiring ContiTech ([Continental: Road to tyre pureplay almost complete - ContiTech sale agreed at €4bn](#)).

EXHIBIT 52: Bridgestone: Summary Changes to Model

YEN Bn	Actual 2025 FY	OLD			NEW			Δ		
		2026 FYE	2027 FYE	2028 FYE	2026 FYE	2027 FYE	2028 FYE	2026 FYE	2027 FYE	2028 FYE
Total Revenue	4,429	4,768	5,226	5,407	4,855	5,483	5,737	2%	5%	6%
Total Revenue Growth	0.0%	7.6%	9.6%	3.5%	9.6%	12.9%	4.6%	2.0%	3.3%	1.2%
Volume	-1.6%	0.1%	2.1%	0.6%	0.1%	1.9%	1.8%	0.0%	-0.2%	1.1%
Price	1.3%	1.8%	5.2%	1.0%	2.8%	8.3%	1.0%	1.0%	3.1%	0.0%
Mix	0.6%	0.7%	1.8%	1.8%	0.8%	1.8%	1.8%	0.1%	0.0%	0.0%
Price-Mix	1.9%	2.4%	7.0%	2.8%	3.6%	10.1%	2.8%	1.2%	3.1%	0.0%
Currency	-0.3%	5.0%	0.2%	0.0%	5.7%	0.5%	0.0%	0.7%	0.3%	0.0%
Scope	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
EBITDA (Underlying)	847	889	997	1,062	891	986	1,061	0%	(1%)	(0%)
Segment Operating Margin	19.1%	18.6%	19.1%	19.6%	18.4%	18.0%	18.5%	(0.3%)	(1.1%)	(1.1%)
EBIT (Underlying)	494	520	636	705	522	623	700	0%	(2%)	(1%)
Segment Operating Margin	11.1%	10.9%	12.2%	13.0%	10.8%	11.4%	12.2%	(0.2%)	(0.8%)	(0.8%)
Reported Net Income	324	394	482	541	396	472	539	0%	(2%)	(0%)
Reported EPS - Diluted	238.1	308.7	386.4	439.1	309.9	377.7	436.4	0%	(2%)	(1%)
Net Debt (incl. pension)	237	228	20	-198	240	43	-175	5%	113%	(11%)
Free Cash Flow to Equity Holders	352	286	399	460	269	385	457	(6%)	(4%)	(1%)

Source: Company reports, Bernstein estimates & analysis

EXHIBIT 53: Michelin: Summary Changes to Model

	Actual 2025 FY	OLD			NEW			Δ		
		2026 FYE	2027 FYE	2028 FYE	2026 FYE	2027 FYE	2028 FYE	2026 FYE	2027 FYE	2028 FYE
Total Revenue	25,992	27,150	30,068	31,115	27,072	29,569	30,887	(0%)	(2%)	(1%)
Total Revenue Growth	-4%	4%	11%	3%	4%	9%	4%	(0%)	(2%)	1%
Volume	-4.7%	1.6%	3.2%	0.0%	0.9%	1.1%	1.0%	-0.7%	-2.1%	1.0%
Price	1.3%	1.0%	5.2%	1.0%	0.8%	5.2%	1.0%	-0.2%	0.0%	0.0%
Mix	1.7%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	0.0%	0.0%	0.0%
Price-Mix	3.0%	2.5%	6.7%	2.5%	2.3%	6.7%	2.5%	-0.2%	0.0%	0.0%
Non-Tire	-0.2%	0.3%	0.2%	0.3%	0.3%	0.2%	0.3%	0.0%	0.0%	0.0%
Currency	-3.0%	-1.2%	0.1%	0.0%	-0.6%	0.5%	0.0%	0.6%	0.4%	0.0%
Scope	0.0%	1.3%	0.8%	0.8%	1.3%	0.8%	0.8%	0.0%	0.0%	0.0%
EBITDA (Underlying)	4,662	4,871	5,755	6,277	4,822	5,700	6,219	(1%)	(1%)	(1%)
Segment Operating Margin	17.9%	17.9%	19.1%	20.2%	17.8%	19.3%	20.1%	(0.1%)	0.1%	(0.0%)
EBIT (Underlying)	2,719	2,948	3,769	4,236	2,901	3,724	4,195	(2%)	(1%)	(1%)
Segment Operating Margin	10.5%	10.9%	12.5%	13.6%	10.7%	12.6%	13.6%	(0.1%)	0.1%	(0.0%)
Reported Net Income	1,663	1,900	2,507	2,929	1,867	2,479	2,905	(2%)	(1%)	(1%)
Reported EPS - Diluted	2.3	2.8	3.8	4.6	2.7	3.7	4.5	(2%)	(1%)	(1%)
Net Debt (incl. pension)	5,114	6,382	6,177	5,894	6,358	6,038	5,774	(0%)	(2%)	(2%)
Free Cash Flow to Equity Holders	1,767	1,511	2,096	2,473	1,536	2,196	2,442	2%	5%	(1%)

Source: Company reports, Bernstein estimates & analysis

EXHIBIT 54: **Pirelli: Summary Changes to Model**

	Actual	OLD			NEW			Δ		
	2025 FY	2026 FYE	2027 FYE	2028 FYE	2026 FYE	2027 FYE	2028 FYE	2026 FYE	2027 FYE	2028 FYE
Total Revenue	6,776	6,892	7,340	7,599	6,935	7,421	7,702	1%	1%	1%
<i>Total Revenue Growth</i>	<i>0.0%</i>	<i>1.7%</i>	<i>6.5%</i>	<i>3.5%</i>	<i>2.4%</i>	<i>7.0%</i>	<i>3.8%</i>	<i>0.6%</i>	<i>0.5%</i>	<i>0.3%</i>
Volume	0.4%	1.8%	1.0%	1.0%	1.2%	1.1%	1.3%	-0.6%	0.1%	0.3%
Price-Mix	3.8%	3.0%	5.3%	2.5%	3.1%	5.3%	2.5%	0.1%	0.0%	0.0%
Currency	-3.8%	-2.9%	0.2%	0.0%	-1.8%	0.5%	0.0%	1.1%	0.3%	0.0%
Scope	-0.4%	-0.1%	0.0%	0.0%	-0.1%	0.0%	0.0%	0.0%	0.0%	0.0%
EBITDA (Underlying)	1,548	1,586	1,706	1,770	1,606	1,752	1,821	1%	3%	3%
<i>Margin</i>	<i>22.8%</i>	<i>23.0%</i>	<i>23.2%</i>	<i>23.3%</i>	<i>23.2%</i>	<i>23.6%</i>	<i>23.6%</i>	<i>0.1%</i>	<i>0.4%</i>	<i>0.3%</i>
EBIT (Underlying)	1,081	1,081	1,176	1,240	1,101	1,221	1,290	2%	4%	4%
<i>Margin</i>	<i>16.0%</i>	<i>15.7%</i>	<i>16.0%</i>	<i>16.3%</i>	<i>15.9%</i>	<i>16.5%</i>	<i>16.8%</i>	<i>0.2%</i>	<i>0.4%</i>	<i>0.4%</i>
Reported Net Income	531	586	644	700	599	675	734	2%	5%	5%
Reported EPS - Basic	0.50	0.50	0.55	0.60	0.52	0.58	0.63	2%	5%	5%
Net Debt (incl. pension)	1,519	1,350	959	536	1,346	943	506	(0%)	(2%)	(6%)
Free Cash Flow to Equity Holders	678	503	560	619	507	578	647	1%	3%	5%

Source: Company reports, Bernstein estimates & analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 55: Bridgestone: Summary Model

All YEN Billions	2020 FY	2021 FY	2022 FY	2023 FY	2024 FY	2025 FY	2026 H1E	2026 H2E	2026 FYE	2027 FYE	2028 FYE	2029 FYE	2030 FYE
Income Statement											Today's Market Cap: 4,483		
Revenue	2,995	3,246	4,110	4,314	4,430	4,429	2,276	2,579	4,855	5,483	5,737	6,004	6,283
Growth	-15%	8%	27%	5%	3%	0%	8%	12%	10%	13%	5%	5%	5%
Organic Growth	-14%	4%	10%	-2%	-4%	0%	0%	7%	4%	12%	5%	5%	5%
EBITDA (Underlying)	490	645	765	786	831	847	436	455	891	986	1,061	1,168	1,284
Margin	16.4%	19.9%	18.6%	18.2%	18.8%	19.1%	19.2%	17.6%	18.4%	18.0%	18.5%	19.5%	20.4%
EBIT (Underlying)	223	394	483	481	483	494	251	272	522	623	700	807	920
Margin	7.4%	12.1%	11.7%	11.1%	10.9%	11.1%	11.0%	10.5%	10.8%	11.4%	12.2%	13.4%	14.6%
Finance Income	5	9	16	29	15	15	21	22	44	47	59	68	82
Finance Cost	(13)	(11)	(14)	(21)	(25)	(21)	(12)	(12)	(24)	(24)	(24)	(24)	(24)
Other Finance/Exceptionals	(185)	(14)	(61)	(45)	(52)	(133)	(5)	(8)	(14)	(17)	(17)	(17)	(17)
Reported PBT	29	378	423	444	421	355	254	274	528	630	719	834	961
Tax	(49)	(63)	(112)	(111)	(129)	(31)	(64)	(68)	(132)	(157)	(180)	(209)	(240)
Tax Rate (%)	-167%	-17%	-27%	-25%	-31%	-9%	-25%	-25%	-25%	-25%	-25%	-25%	-25%
Reported Net Income (Group)	(20)	314	311	333	292	324	190	205	396	472	539	626	721
Reported EPS - Diluted	(33.1)	436.5	439.1	477.0	415.8	238.1	147.2	162.7	309.9	377.7	436.4	512.6	597.8
EPS Growth (adjusted for stock split)	-110%	-1419%	1%	9%	-13%	15%	74%	6%	30%	22%	16%	17%	17%
Dividend per share	110.0	170.0	175.0	200.0	210.0	115.0	73.7	81.4	155.1	189.0	218.4	256.5	299.2
Payout Ratio	-332%	39%	40%	42%	50%	48%	50%	50%	50%	50%	50%	50%	50%
Segment Forecasts													
Revenue													
Japan	763	873	1,036	1,242	1,226	1,266	599	694	1,293	1,446	1,512	1,582	1,655
Americas	1,408	1,455	1,988	2,080	2,180	2,131	1,120	1,271	2,391	2,731	2,874	3,025	3,184
Europe, Middle East, Africa	564	694	870	909	836	853	457	479	937	1,041	1,074	1,109	1,145
China, APAC	395	387	457	461	530	518	274	302	575	606	617	628	640
Margin													
Japan	8%	13%	14%	17%	15%	16%	15%	16%	16%	17%	17%	17%	17%
Americas	10%	13%	13%	10%	8%	9%	9%	10%	9%	10%	11%	13%	14%
Europe, Middle East, Africa	-3%	6%	8%	3%	4%	5%	7%	5%	6%	7%	9%	10%	12%
China, APAC	6%	11%	9%	9%	11%	12%	10%	10%	10%	8%	7%	9%	12%
Revenue split by segment													
Passenger & Light Truck	50%	54%	54%	55%	56%	56%							
Heavy Truck & Bus	22%	26%	26%	24%	23%	23%							
Specialty	11%	12%	14%	14%	14%	14%							
Diversified Products	17%	8%	7%	7%	7%	6%							
Revenue Growth Bridge													
Volume	-14.6%	-0.2%	-2.0%	-7.1%	-4.1%	-1.6%	-1.0%	1.1%	0.1%	1.9%	1.8%	1.8%	1.8%
Price	0.2%	2.6%	10.0%	4.9%	-0.1%	1.3%	0.4%	5.0%	2.8%	8.3%	1.0%	1.0%	1.0%
Mix	1.0%	2.0%	1.7%	0.7%	0.7%	0.6%	1.1%	0.5%	0.8%	1.8%	1.8%	1.8%	1.8%
Price/Mix	1.2%	4.6%	11.7%	5.7%	0.6%	1.9%	1.5%	5.5%	3.6%	10.1%	2.8%	2.8%	2.8%
FX	-1.2%	3.8%	15.5%	6.9%	6.5%	-0.3%	7.0%	4.5%	5.7%	0.5%	0.0%	0.0%	0.0%
Scope	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Total	-14.6%	8.4%	26.6%	5.0%	2.7%	0.0%	7.5%	11.5%	9.6%	12.8%	4.6%	4.6%	4.7%
Exceptional Adjustments (% adj EBIT)	71%	4%	9%	0%	8%	23%	1%	4%	2%	3%	3%	2%	2%
Condensed Balance Sheet													
PP&E, Intangibles, Goodwill	1,897	1,982	2,154	2,408	2,533	2,540	2,489	2,481	2,481	2,459	2,455	2,467	2,494
Cash & Cash equivalents	811	788	519	725	707	714	717	688	688	884	1,103	1,319	1,569
Working Capital Assets	1,159	1,372	1,832	1,821	1,983	1,979	1,935	2,102	2,102	2,254	2,295	2,369	2,445
Other Assets	322	405	437	466	495	509	513	514	514	516	517	519	521
Total Assets	4,189	4,547	4,942	5,420	5,717	5,742	5,653	5,785	5,785	6,112	6,370	6,674	7,028
Debt (Including Leases post IFRS 16)	1,006	811	767	830	728	827	800	800	800	800	800	800	800
Net Pension Liability	192	144	136	145	140	124	128	128	128	128	128	128	128
Other Liabilities	796	916	1,027	1,039	1,063	1,071	995	1,041	1,041	1,153	1,179	1,202	1,226
Total Liabilities	1,994	1,871	1,930	2,014	1,930	2,022	1,923	1,969	1,969	2,081	2,106	2,130	2,154
Total Equity	2,195	2,675	3,012	3,405	3,786	3,720	3,730	3,816	3,816	4,031	4,264	4,544	4,874
Net Debt (incl. pension)	387	167	384	251	161	237	211	240	240	43	(175)	(391)	(641)
Net Debt/EBITDA	0.8	0.3	0.5	0.3	0.2	0.3	0.5	0.5	0.3	0.0	(0.2)	(0.3)	(0.5)
Financial Net Debt (Cash)/EBITDA	(0.2)	(0.4)	(0.1)	(0.3)	(0.4)	(0.3)	(0.6)	(0.5)	(0.3)	(0.4)	(0.6)	(0.7)	(0.9)
Cashflow													
Adjusted EBITDA	490	645	765	786	831	847	436	455	891	986	1,061	1,168	1,284
Cash exceptionals	(17)	(63)	(10)	(122)	(73)	(100)	(28)	(10)	(38)	(20)	(20)	(20)	(20)
Working Capital	178	(109)	(282)	76	(48)	27	59	(122)	(63)	(40)	(16)	(51)	(52)
Net Capex	(179)	(175)	(227)	(313)	(257)	(263)	(151)	(175)	(326)	(341)	(357)	(374)	(391)
% sales	6.0%	5.4%	5.5%	7.3%	5.8%	5.9%	6.6%	6.8%	6.7%	6.2%	6.2%	6.2%	6.2%
Lease Principal Repayment (IFRS 16)	(57)	(60)	(66)	(68)	(72)	(73)	(38)	(34)	(72)	(68)	(68)	(68)	(68)
Cash Taxes	(72)	(148)	(86)	(58)	(117)	(79)	(70)	(68)	(139)	(157)	(180)	(209)	(240)
Cash Finance Cost (incl. IFRS 16 interest component)	(14)	(13)	(15)	(18)	(24)	(24)	(11)	(12)	(22)	(24)	(24)	(24)	(24)
JV Dividends & Interest Income	8	12	21	34	21	18	15	22	37	48	60	69	82
Free Cash Flow to Equity Holders	338	89	100	318	262	352	212	56	269	385	457	493	572
FCF % adj EBITDA	69%	14%	13%	40%	32%	42%	49%	12%	30%	39%	43%	42%	45%
FCF % Sales	11%	3%	2%	7%	6%	8%	9%	2%	6%	7%	8%	9%	9%
FCF Yield	14.0%	2.5%	3.0%	7.6%	6.9%	7.0%	4.8%	1.3%	6.0%	8.6%	10.2%	11.0%	12.8%
FCF Per Share	0.48	0.13	0.14	0.46	0.38	0.26	0.17	0.05	0.22	0.32	0.38	0.41	0.49
FCF per share growth (%)	58%	-74%	14%	223%	-18%	-31%	35%	-77%	-18%	46%	20%	9%	17%
ROIC (Bernstein Definition)	-11.1%	8.5%	11.9%	11.5%	8.9%	9.5%	0.0%	0.0%	9.6%	11.7%	13.1%	14.9%	16.7%
Cash Uses													
M&A (net of disposals)	2	(364)	116	0	0	0	0	0	0	0	0	0	0
Dividends	99	111	124	134	150	153	77	95	172	206	256	294	339
Debt Repayment	3	109	54	21	36	2	0	0	0	0	0	0	0
Buybacks	0	0	100	0	0	300	150	25	175	51	51	51	51
Core Cash Uses	104	(143)	394	155	186	455	227	120	347	257	307	345	390
% of FCF	31%	-162%	394%	49%	71%	129%	107%	212%	129%	67%	67%	70%	68%

Source: Company reports, Bernstein estimates & analysis

EXHIBIT 56: Continental: Summary Model

	2020 FY	2021 FY	2022 FY	2023 FY	2024 FY	2025 FY	2026 FYE	2027 FYE	2028 FYE	2029 FYE	2030 FYE
Today's Market Cap: 14,380											
Income Statement											
Revenue	37,574	33,754	39,266	41,302	39,678	19,666	18,568	19,347	19,950	20,397	20,855
Growth	-14%	-10%	16%	5%	-4%		-6%	4%	3%	2%	2%
Organic Growth	-13%	8%	13%	7%	-2%		2%	5%	2%	2%	2%
EBITDA (Underlying)	4,208	4,130	4,195	4,685	4,868	3,621	3,166	3,558	3,769	3,970	4,176
EBITDA Margin	11%	12%	11%	11%	12%	18%	17%	18%	19%	19%	20%
EBIT (Underlying)	1,333	1,900	1,951	2,517	2,694	2,035	2,124	2,473	2,647	2,813	2,985
EBIT Margin	4%	6%	5%	6%	7%	10%	11%	13%	13%	14%	14%
Finance Income	99	103	84	103	103	77	38	40	53	68	84
Finance Cost	(282)	(180)	(235)	(419)	(449)	(352)	(338)	(342)	(342)	(342)	(342)
Other Finance/Exceptionals	(2,079)	(113)	(1,243)	(583)	(461)	(1,791)	(274)	(103)	(101)	(99)	(97)
Reported PBT	-930	1,710	557	1,618	1,887	-31	1,550	2,067	2,258	2,440	2,629
Tax	11	(360)	(445)	(424)	(689)	(384)	(368)	(496)	(542)	(586)	(631)
Tax Rate (%)	-1%	-21%	-80%	-26%	-37%	1239%	-24%	-24%	-24%	-24%	-24%
Reported Net Income (Group)	(919)	1,350	112	1,194	1,198	(415)	1,182	1,571	1,716	1,854	1,998
Reported EPS - Diluted	(4.81)	7.27	0.33	5.78	5.84	(2.22)	5.97	7.94	8.67	9.37	10.10
EPS Growth	-21%	-251%	-95%	1636%	1%	-138%	-368%	33%	9%	8%	8%
Dividend	0.00	2.20	1.50	2.20	2.50	2.70	2.99	3.97	4.33	4.68	5.05
Payout Ratio	0%	30%	450%	38%	43%	-121%	50%	50%	50%	50%	50%
Segment Forecasts											
Revenue											
Tyres	10,159	11,808	14,005	13,958	13,861	13,798	14,040	14,869	15,167	15,470	15,779
ContiTech	5,579	5,913	6,594	6,842	6,386	6,005	4,641	4,594	4,904	5,051	5,202
EBIT											
Tyres	1,344	1,729	1,842	1,887	1,902	1,870	1,883	2,103	2,205	2,311	2,421
ContiTech	412	457	308	448	393	316	373	486	562	625	690
Margin											
Tyres	13%	15%	13%	14%	14%	14%	13%	14%	15%	15%	15%
ContiTech	8%	8%	5%	7%	6%	5%	8%	11%	11%	12%	13%
By region											
Europe	46%	46%	46%	48%	49%						
North America	24%	23%	22%	22%	22%						
China	16%	15%	16%	15%	14%						
RoW	14%	15%	16%	15%	15%						
Exceptional Adjustments (% adj EBIT)	154%	3%	61%	26%	15%	87%	13%	4%	4%	4%	3%
Condensed Balance Sheet											
PP&E, Intangibles, Goodwill	19,469	16,211	15,659	15,730	15,582	7,150	7,507	7,725	7,943	8,156	8,366
Cash & Cash equivalents	2,939	2,269	2,988	2,923	2,966	1,503	2,041	2,804	3,513	4,258	5,069
Working Capital Assets	11,591	12,083	14,497	13,846	13,217	6,295	6,181	6,345	6,488	6,633	6,782
Other Assets	5,556	5,176	4,689	5,144	5,089	2,777	2,062	2,036	2,018	2,007	2,000
Total Assets	39,555	35,739	37,834	37,642	36,854	17,725	17,791	18,909	19,962	21,055	22,217
Debt (Including Leases post IFRS 16)	7,334	6,261	7,695	7,170	6,909	6,826	6,707	6,835	6,964	7,092	7,220
Net Pension Liability	6,027	4,641	2,530	3,037	3,002	1,149	1,132	1,132	1,132	1,132	1,132
Other Liabilities	13,555	12,194	13,874	13,310	12,144	5,595	4,940	4,998	5,055	5,093	5,132
Total Liabilities	26,916	23,096	24,099	23,517	22,055	13,570	12,779	12,965	13,151	13,317	13,484
Total Equity	12,639	12,643	13,735	14,125	14,798	4,158	5,011	5,943	6,810	7,736	8,732
Net Debt (incl. pension)	10,423	8,633	7,237	7,284	6,945	6,472	5,798	5,164	4,583	3,966	3,283
Net Debt/EBITDA	2.5	2.1	1.7	1.6	1.4	1.8	1.8	1.5	1.2	1.0	0.8
Financial Net Debt/EBITDA	0.7	0.7	0.8	0.7	0.6	1.3	1.2	0.9	0.7	0.5	0.3
Cashflow											
Adjusted EBITDA	4,208	4,130	4,195	4,685	4,868	3,621	3,166	3,558	3,769	3,970	4,176
Cash exceptionals	(998)	(60)	(66)	(400)	(202)	(400)	(250)	(80)	(80)	(80)	(80)
Working Capital	(579)	(445)	(734)	(264)	223	(231)	39	(106)	(86)	(108)	(111)
Net Capex	(2,069)	(1,800)	(2,096)	(2,035)	(1,882)	(1,129)	(1,292)	(1,304)	(1,340)	(1,370)	(1,401)
% sales	5.5%	5.3%	5.3%	4.9%	4.7%	5.7%	7.0%	6.7%	6.7%	6.7%	6.7%
Lease Principal Repayment (IFRS 16)	0	(339)	(324)	(307)	(318)	(222)	(221)	(221)	(221)	(221)	(221)
Cash Taxes	(886)	(751)	(597)	(726)	(785)	(562)	(358)	(496)	(542)	(586)	(631)
Cash Finance Cost (incl. IFRS 16 interest component)	(169)	(165)	(152)	(280)	(346)	(293)	(212)	(214)	(214)	(214)	(214)
JV Dividends & Interest Income	130	134	115	149	144	86	56	71	74	81	92
Free Cash Flow to Equity Holders	(363)	703	342	823	1,702	870	927	1,209	1,362	1,473	1,611
FCF % adj EBITDA	-9%	17%	8%	18%	35%	24%	29%	34%	36%	37%	39%
FCF % sales	-1%	2%	1%	2%	4%	4%	5%	6%	7%	7%	8%
FCF Yield	-1.5%	3.8%	3.1%	5.3%	13.1%	6.4%	6.4%	8.4%	9.5%	10.2%	11.2%
FCF Per Share	(1.81)	3.51	1.71	4.11	8.51	4.35	4.63	6.04	6.81	7.36	8.05
FCF per share growth (%)	-134.9%	-293.6%	94.5%	863.5%	106.9%	-48.9%	6.5%	30.4%	12.7%	8.2%	9.4%
ROIC (Bernstein Definition)	1.0%	4.4%	5.5%	7.2%	7.5%	7.8%	14.4%	15.6%	16.3%	16.8%	17.4%
M&A (net spend)	(233)	(218)	109	133	(61)	(9)	97	0	0	0	0
Dividends	653	29	457	324	465	521	578	639	849	928	1,002
Debt Repayment	2,558	200	0	1,250	725	602	0	0	0	0	0
Buybacks	0	0	0	0	0	0	0	0	0	0	0
Core Cash Uses	2,977	11	566	1,707	1,129	1,114	675	639	849	928	1,002
% FCF	-820%	2%	166%	207%	66%	128%	73%	53%	62%	63%	62%

Source: Company reports, Bernstein estimates & analysis

EXHIBIT 57: Michelin: Summary Model

	2019 FY	2020 FY	2021 FY	2022 FY	2023 FY	2024 FY	2025 FY	2026 FYE	2027 FYE	2028 FYE	2029 FYE	2030 FYE
Income Statement												
Revenue	24,135	20,469	23,795	28,590	28,343	27,193	25,992	27,072	29,569	30,887	32,261	33,694
Growth	10%	-15%	16%	20%	-1%	-4%	-4%	4%	9%	4%	4%	4%
Organic Growth	1%	0%	18%	12%	1%	-3%	-1%	3%	8%	4%	4%	4%
EBITDA (Underlying)	4,763	3,631	4,700	5,262	5,489	5,361	4,662	4,822	5,700	6,219	6,772	7,361
Margin	19.7%	17.7%	19.8%	18.4%	19.4%	19.7%	17.9%	17.8%	19.3%	20.1%	21.0%	21.8%
EBIT (Underlying)	3,009	1,878	2,966	3,396	3,572	3,378	2,719	2,901	3,724	4,195	4,698	5,236
Margin	12.5%	9.2%	12.5%	11.9%	12.6%	12.4%	10.5%	10.7%	12.6%	13.6%	14.6%	15.5%
Finance Income	4	0	(11)	12	130	141	104	79	58	64	73	90
Finance Cost	(303)	(199)	(176)	(276)	(259)	(169)	(207)	(196)	(196)	(196)	(196)	(196)
Other Finance/Exceptionals	(474)	(700)	(308)	(476)	(953)	(904)	(359)	(296)	(282)	(191)	(173)	(152)
Reported PBT	2,236	979	2,471	2,656	2,490	2,446	2,257	2,490	3,305	3,873	4,403	4,978
Tax	(506)	(354)	(626)	(647)	(507)	(555)	(594)	(622)	(826)	(968)	(1,101)	(1,244)
Tax Rate (%)	-23%	-36%	-25%	-24%	-20%	-23%	-26%	-25%	-25%	-25%	-25%	-25%
Reported Net Income (Group)	1,730	625	1,845	2,009	1,983	1,891	1,663	1,867	2,479	2,905	3,303	3,733
Reported EPS - Diluted	9.66	3.51	10.24	2.79	2.75	2.62	2.33	2.73	3.73	4.50	5.24	6.06
EPS Growth	4%	-64%	192%	9%	-1%	-5%	-11%	17%	37%	20%	17%	16%
Dividend	3.85	2.30	4.50	1.25	1.35	1.38	1.38	1.38	1.89	2.28	2.66	3.08
Payout Ratio	40%	65%	44%	45%	49%	52%	58%	50%	50%	50%	50%	50%
Segment Forecasts												
Revenue												
Consumer							14,306	14,847	16,029	16,582	17,151	17,736
Transportation							6,023	6,237	6,938	7,330	7,742	8,176
Specialties							4,418	4,335	4,619	4,654	4,692	4,733
Polymer Composite Solutions							1,245	1,652	1,984	2,321	2,676	3,048
Margin												
Consumer							12%	12%	13%	14%	15%	16%
Transportation							5%	5%	8%	10%	11%	12%
Specialties							13%	14%	16%	17%	18%	19%
Polymer Composite Solutions							15%	11%	15%	16%	17%	18%
By region												
France	9%	9%	9%	9%	9%	9%	10%					
Rest of Europe	28%	29%	29%	27%	26%	27%	27%					
North America	37%	35%	35%	38%	39%	39%	37%					
RoW	26%	28%	27%	26%	26%	25%	26%					
Revenue Growth Bridge												
Volume	-1.2%	-14.0%	11.8%	-2.0%	-4.7%	-5.1%	-4.7%	0.9%	1.1%	1.0%	1.0%	1.1%
Price	1.1%	0.4%	4.5%	12.8%	4.5%	0.1%	1.3%	0.8%	5.2%	1.0%	1.0%	1.0%
Mix	1.1%	0.8%	1.6%	0.9%	1.2%	1.9%	1.7%	1.5%	1.5%	1.5%	1.5%	1.5%
Price/Mix	2.2%	1.2%	6.1%	13.7%	5.7%	2.0%	3.0%	2.3%	6.7%	2.5%	2.5%	2.5%
Non-tire	0.0%	0.0%	0.3%	0.9%	0.9%	0.5%	-0.2%	0.3%	0.2%	0.3%	0.3%	0.4%
FX	1.8%	-2.6%	-1.9%	6.2%	-2.9%	-1.0%	-3.0%	-0.6%	0.5%	0.0%	0.0%	0.0%
Scope	6.8%	0.2%	-0.2%	1.2%	0.5%	0.2%	0.0%	1.3%	0.8%	0.8%	0.7%	0.7%
Total	9.6%	-15.2%	16.2%	20.2%	-0.9%	-4.1%	-4.4%	4.2%	9.2%	4.5%	4.4%	4.4%
Exceptional Adjustments (% adj EBIT)	11%	25%	6%	11%	26%	22%	13%	9%	7%	5%	4%	4%
Condensed Balance Sheet												
PP&E, Intangibles, Goodwill	17,837	16,020	16,362	17,379	18,118	18,931	17,813	19,048	19,631	20,232	20,849	21,483
Cash & Cash equivalents	1,466	4,747	4,482	2,584	2,515	3,936	3,877	2,752	3,191	3,574	4,241	5,108
Working Capital Assets	8,226	6,977	8,848	10,523	9,297	9,294	8,552	8,759	9,097	9,291	9,483	9,674
Other Assets	4,103	3,682	4,677	4,629	4,960	5,080	4,682	4,792	4,916	5,056	5,214	5,392
Total Assets	31,632	31,426	34,369	35,115	34,890	37,241	34,924	35,351	36,835	38,153	39,787	41,656
Debt (Including Leases post IFRS 16)	7,081	8,738	8,002	7,454	6,242	7,439	6,645	6,665	6,685	6,705	6,726	6,746
Net Pension Liability	3,828	3,489	3,030	2,330	2,421	2,621	2,346	2,445	2,544	2,643	2,742	2,841
Other Liabilities	7,494	6,568	8,366	8,215	8,269	8,549	7,856	7,987	8,410	8,543	8,680	8,821
Total Liabilities	18,403	18,795	19,398	17,999	16,932	18,609	16,847	17,097	17,639	17,892	18,148	18,407
Total Equity	13,229	12,631	14,971	17,116	17,958	18,634	18,076	18,253	19,195	20,260	21,638	23,248
Net Debt (incl. pension)	9,443	7,480	6,550	7,200	6,148	6,124	5,114	6,358	6,038	5,774	5,227	4,479
Net Debt/EBITDA	2.0	2.1	1.4	1.4	1.1	1.1	1.1	1.3	1.1	0.9	0.8	0.6
Financial Debt/EBITDA	1.2	0.8	0.5	0.8	0.5	0.4	0.4	0.6	0.4	0.3	0.2	0.1
Cashflow												
Adjusted EBITDA	4,763	3,631	4,700	5,262	5,489	5,361	4,662	4,822	5,700	6,219	6,772	7,361
Cash exceptionals	(182)	(205)	(159)	(206)	(183)	(206)	(364)	(175)	(175)	(100)	(100)	(100)
Working Capital	(99)	700	(824)	(2,077)	985	69	273	(78)	80	(66)	(61)	(56)
Net Capex	(1,715)	(1,323)	(1,441)	(2,008)	(2,221)	(2,215)	(1,880)	(1,997)	(2,152)	(2,217)	(2,283)	(2,351)
% sales	7.1%	6.5%	6.1%	7.0%	7.8%	8.1%	7.2%	7.4%	7.3%	7.2%	7.1%	7.0%
Lease Principal Repayment (IFRS 16)	(238)	(244)	(244)	(268)	(279)	(270)	(280)	(280)	(280)	(280)	(280)	(280)
Cash Taxes	(619)	(315)	(562)	(697)	(776)	(806)	(593)	(621)	(821)	(963)	(1,095)	(1,239)
Cash Finance Cost (incl. IFRS 16 interest component)	(371)	(305)	(227)	(378)	(407)	(251)	(290)	(225)	(225)	(225)	(225)	(225)
JV Dividends & Interest Income	46	40	20	55	214	209	239	89	68	74	83	100
Free Cash Flow to Equity Holders	1,585	1,979	1,263	(317)	2,822	1,891	1,767	1,536	2,196	2,442	2,811	3,211
FCF % adj EBITDA	33%	55%	27%	-6%	51%	35%	38%	32%	39%	39%	42%	44%
FCF % Sales	7%	10%	5%	-1%	10%	7%	7%	6%	7%	8%	9%	10%
FCF Yield	8.1%	10.6%	4.9%	-1.7%	12.2%	8.4%	9.1%	6.6%	9.4%	10.4%	12.0%	13.7%
FCF Per Share (not restated for 2022 4:1 split)	8.80	11.05	7.03	(0.44)	3.92	2.64	2.48	2.24	3.31	3.78	4.46	5.21
FCF per share growth (%)	10%	26%	-36%	-125%	-33%	-6%	-9%	47%	14%	18%	17%	17%
ROIC (Bernstein Definition)	9.7%	5.7%	10.7%	10.7%	10.0%	9.1%	8.2%	8.9%	11.0%	12.1%	13.2%	14.3%
Company FCF Definition	1,606	2,043	1,464	(104)	3,009	2,225	2,126	1,816	2,476	2,722	3,091	3,491
Cash Uses												
M&A (net of disposals) incl. into JVs	423	40	107	77	666	(1)	(56)	1,250	500	500	500	500
Dividends	665	357	410	803	893	961	974	940	912	1,215	1,425	1,624
Debt Repayment	864	345	864	743	1,167	177	410	0	0	0	0	0
Buybacks	141	99	0	120	0	502	668	750	625	625	500	500
Core Cash Uses	2,093	841	1,381	1,743	2,726	1,639	1,996	2,940	2,037	2,340	2,425	2,624
% of FCF	132%	42%	109%	-550%	97%	87%	113%	191%	93%	96%	86%	82%

EXHIBIT 58: **Pirelli: Summary Model**

	2020 FY	2021 FY	2022 FY	2023 FY	2024 FY	2025 FY	2026 FYE	2027 FYE	2028 FYE	2029 FYE	2030 FYE
Income Statement											
Revenue	4,302	5,332	6,616	6,650	6,773	6,776	6,935	7,421	7,702	7,985	8,278
Growth	-19%	24%	24%	1%	2%	0%	2%	7%	4%	4%	4%
Organic Growth	-14%	25%	19%	7%	4%	4%	4%	6%	4%	4%	4%
EBITDA (Underlying)	893	1,211	1,408	1,446	1,519	1,548	1,606	1,752	1,821	1,897	1,968
EBITDA Margin	20.7%	22.7%	21.3%	21.7%	22.4%	22.8%	23.2%	23.6%	23.6%	23.8%	23.8%
EBIT (Underlying)	501	816	978	1,002	1,060	1,081	1,101	1,221	1,290	1,366	1,437
EBIT Margin	11.7%	15.3%	14.8%	15.1%	15.7%	16.0%	15.9%	16.5%	16.8%	17.1%	17.4%
Finance Income	146	35	102	226	136	107	103	115	130	147	165
Finance Cost	(303)	(179)	(304)	(420)	(423)	(291)	(247)	(249)	(249)	(249)	(249)
Other Finance/Exceptionals	(287)	(235)	(180)	(178)	(126)	(137)	(72)	(88)	(85)	(83)	(80)
Reported PBT	57	437	596	630	648	760	886	999	1,086	1,181	1,272
Tax	(15)	(115)	(160)	(134)	(147)	(229)	(287)	(324)	(352)	(383)	(412)
Tax Rate (%)	-26%	-26%	-27%	-21%	-23%	-30%	-32%	-32%	-32%	-32%	-32%
Reported Net Income (Group)	43	322	436	496	501	531	599	675	734	798	860
Reported EPS - Basic	0.03	0.30	0.42	0.48	0.47	0.50	0.52	0.58	0.63	0.69	0.74
EPS Growth	-93%	909%	38%	15%	-2%	6%	4%	13%	9%	8%	8%
Dividend	0.08	0.16	0.22	0.20	0.25	0.34	0.26	0.29	0.32	0.34	0.37
Payout Ratio	269%	53%	52%	41%	53%	69%	50%	50%	50%	50%	50%
Segment Forecasts											
Revenue											
Europe	1,757	2,059	2,442	2,592	2,644	2,624	2,672	2,840	2,940	3,042	3,149
North America	871	1,146	1,592	1,715	1,706	1,783	1,810	1,927	1,995	2,064	2,137
APAC	866	1,019	1,093	1,115	1,149	1,197	1,256	1,348	1,409	1,472	1,539
South America	459	668	902	796	799	686	704	748	775	802	830
Russia and MEAI	350	441	587	433	475	486	494	557	584	604	624
Revenue Growth Bridge											
Volume	-15.3%	15.7%	-1.0%	-1.8%	1.9%	0.4%	1.2%	1.1%	1.3%	1.1%	1.1%
Price/Mix	1.2%	9.1%	19.7%	8.6%	2.5%	3.8%	3.1%	5.3%	2.5%	2.5%	2.5%
FX	-5.1%	-0.9%	5.4%	-6.3%	-2.5%	-3.8%	-1.8%	0.5%	0.0%	0.0%	0.0%
Scope	0.0%	0.0%	0.0%	0.0%	0.0%	-0.4%	-0.1%	0.0%	0.0%	0.0%	0.0%
Total	-19.2%	23.9%	24.1%	0.5%	1.9%	0.0%	2.4%	7.0%	3.8%	3.7%	3.7%
Exceptional Adjustments (% adj EBIT)	56%	29%	19%	19%	15%	18%	14%	11%	10%	10%	9%
Condensed Balance Sheet											
PP&E, Intangibles, Goodwill	6,472	6,505	6,512	6,403	6,317	6,144	6,449	6,293	6,150	6,015	5,891
Cash & Cash equivalents	2,275	1,885	1,290	1,253	1,503	1,526	1,961	2,412	2,898	3,448	4,021
Working Capital Assets	1,903	2,222	2,835	2,440	2,535	2,468	2,545	2,764	2,890	2,974	3,061
Other Assets	759	849	869	1,049	962	860	853	926	1,001	1,079	1,160
Total Assets	13,680	13,730	13,777	13,415	13,587	13,268	14,078	14,666	15,209	15,787	16,402
Debt (Including Leases post IFRS 16)	5,855	5,279	4,491	3,964	3,829	2,958	3,216	3,265	3,314	3,363	3,412
Net Pension Liability	169	67	60	65	91	87	91	91	91	91	91
Other Liabilities	3,105	3,341	3,773	3,766	3,754	3,767	3,839	3,982	4,058	4,131	4,210
Total Liabilities	9,128	8,687	8,323	7,795	7,675	6,811	7,145	7,337	7,462	7,584	7,712
Total Equity	4,552	5,043	5,454	5,620	5,912	6,457	6,933	7,328	7,747	8,203	8,690
Net Debt (incl. pension)	3,748	3,461	3,261	2,777	2,417	1,519	1,346	943	506	6	-518
Net Debt/EBITDA	4.2	2.9	2.3	1.9	1.6	1.0	0.8	0.5	0.3	0.0	(0.3)
Financial Debt/EBITDA	3.5	2.4	1.9	1.5	1.2	0.6	0.5	0.2	(0.0)	(0.3)	(0.5)
Cashflow											
Adjusted EBITDA	893	1,211	1,408	1,446	1,519	1,548	1,606	1,752	1,821	1,897	1,968
Cash exceptionals	(119)	(122)	(58)	(40)	(47)	(53)	(56)	(32)	(32)	(32)	(32)
Working Capital	3	(95)	(55)	74	(54)	(53)	(7)	(61)	(34)	5	10
Net Capex	(188)	(278)	(331)	(397)	(401)	(375)	(450)	(476)	(488)	(498)	(508)
% sales	4.4%	5.2%	5.0%	6.0%	5.9%	5.5%	6.5%	6.4%	6.3%	6.2%	6.1%
Lease Principal Repayment (IFRS 16)	(100)	(105)	(115)	(120)	(129)	(129)	(126)	(120)	(120)	(120)	(120)
Cash Taxes	(91)	(126)	(205)	(139)	(158)	(154)	(299)	(339)	(367)	(399)	(429)
Cash Finance Cost (incl. IFRS 16 interest component)	(39)	(115)	(173)	(342)	(206)	(152)	(203)	(200)	(200)	(200)	(200)
JV Dividends & Interest Income	17	23	41	51	44	45	41	55	68	85	103
Free Cash Flow to Equity Holders	378	393	512	533	568	678	507	578	647	738	791
FCF % adj EBITDA	42%	32%	36%	37%	37%	44%	32%	33%	36%	39%	40%
FCF % sales	9%	7%	8%	8%	8%	10%	7%	8%	8%	9%	10%
FCF Yield	8.5%	6.4%	12.8%	10.8%	10.4%	10.7%	7.0%	8.0%	8.9%	10.2%	10.9%
FCF Per Share	0.38	0.39	0.51	0.53	0.57	0.68	0.47	0.53	0.60	0.68	0.73
FCF per share growth (%)	-36.4%	4.2%	30.0%	4.1%	6.6%	19.1%	-30.9%	14.1%	11.9%	14.0%	7.2%
ROIC (Bernstein Definition)	-4.2%	8.4%	9.1%	11.3%	12.1%	13.3%	11.2%	12.1%	13.0%	14.1%	15.1%
Cash Uses											
M&A (Net Spend)	(0)	(4)	(1)	0	32	6	0	0	0	0	0
Dividends	0	80	185	223	204	259	369	279	315	342	372
Debt Repayment	1,807	1,649	2,114	1,634	1,498	529	672	0	0	0	0
Buybacks	0	0	0	0	0	0	0	0	0	0	0
Core Cash Uses	1,807	1,725	2,298	1,857	1,735	793	1,041	279	315	342	372
% of FCF	478%	438%	449%	349%	306%	117%	205%	48%	49%	46%	47%

Source: Company reports, Bernstein estimates & analysis

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein's "affiliates" relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY**Bridgestone Corp**

We value Bridgestone on the same multiple as Michelin (7.8x EV/EBIT), adjusted for the premium that Japanese industrial stocks are trading at vs European industrial stocks which gives our 8.3x EV/ EBIT target multiple. Combined with our NTM+1 EBIT forecast of ¥665bn gives our ¥4,300 target price.

Continental AG

We value Continental on a SOTP. For the RemainCo, we put the Tyre business on 8.1x EV/EBIT, at a premium to Michelin based on higher margin expectations. We value the ContiTech business at 6.5x EV/EBIT and the Central/HQ at the average RemainCo multiple. Together, these give our €73 target price.

Michelin

We value Michelin on 7.8x EV/EBIT, in line with the multiple the market has been willing to pay over the long-term. Together with our NTM+1 EBIT forecast of €3,850mn gives our €38 target price.

Pirelli & C SpA

We think Pirelli's fair value is 8.9x EV/EBIT (based on its volume growth and EBIT margin vs Michelin). We apply a 20% governance discount to our estimation of fair value, to get our target multiple of 7.4x. Together with our NTM+1 EBIT forecast of €1,173mn gives our €7 target price.

RISKS**Bridgestone Corp**

Downside risks to our price target include 1) A failure to convert the technology turnaround into a sales uplift and a decline in the efficiency of capex spending; 2) A downturn in the mining industry would negatively affect Bridgestone's specialty business; 3) Increased capacity growth from Chinese players particularly in Truck & Bus impairs margins.

Continental AG

Upside risks to our price target include 1) The planned sale of the ContiTech unit attracts higher multiples than embedded SOTPs contain today; 2) Tyre margins return to industry leading levels and allow substantial increase in shareholder cash returns.

Downside risks to our target price include 1) Continental delevers slower than expected, driven by a lower ContiTech sales price or lower tyre earnings, which delays cash returns; 2) Continental does not deliver on the promised margin expansion in Tyres.

Michelin

Downside risks to our price target include 1) New success from low-cost Chinese competition investing in R&D/European and American capacity; 2) Today's temporary slowdown in EV adoption lasts longer than expected; 3) Michelin makes value-destructive

M&A investments with the cash on hand

Pirelli & C SpA

Downside risks to our target price include: 1) The governance dispute is not resolved, or is resolved in a way that is highly dilutive to shareholders. 2) Pirelli's USMCA compliant production in Mexico becomes subject to a significant tariff. 3) A recessionary environment which leads to consumer downtrading would impact Pirelli most of our coverage given its highest exposure to premium tyres.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- Credit Outperform (C-OP): The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- Credit Neutral (C-N): The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- Credit Underperform (C-UP): The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side) within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

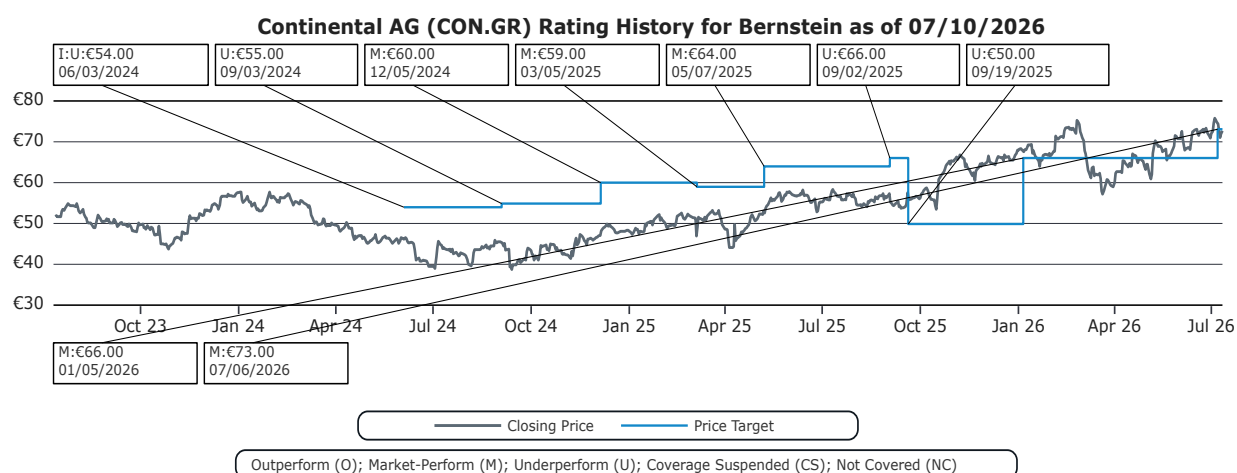
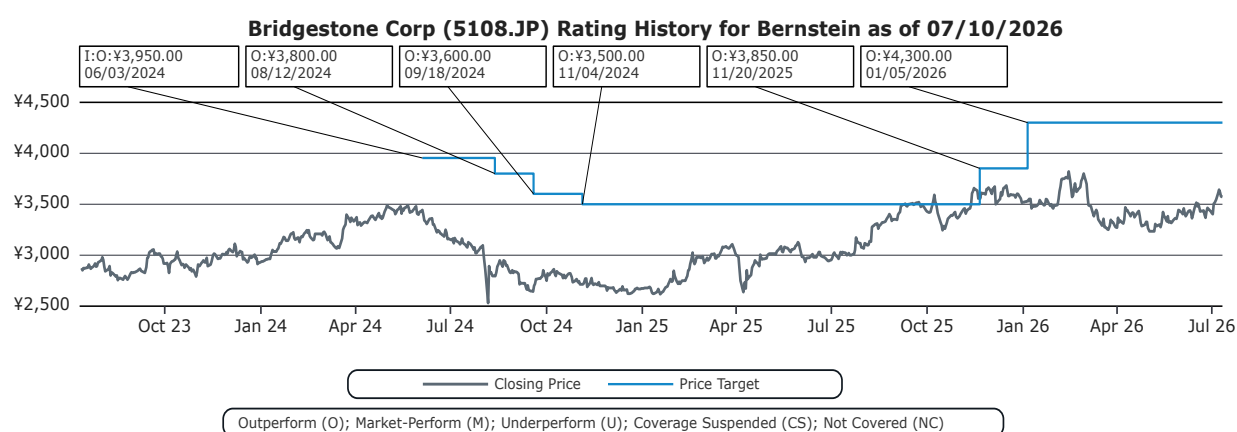
DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

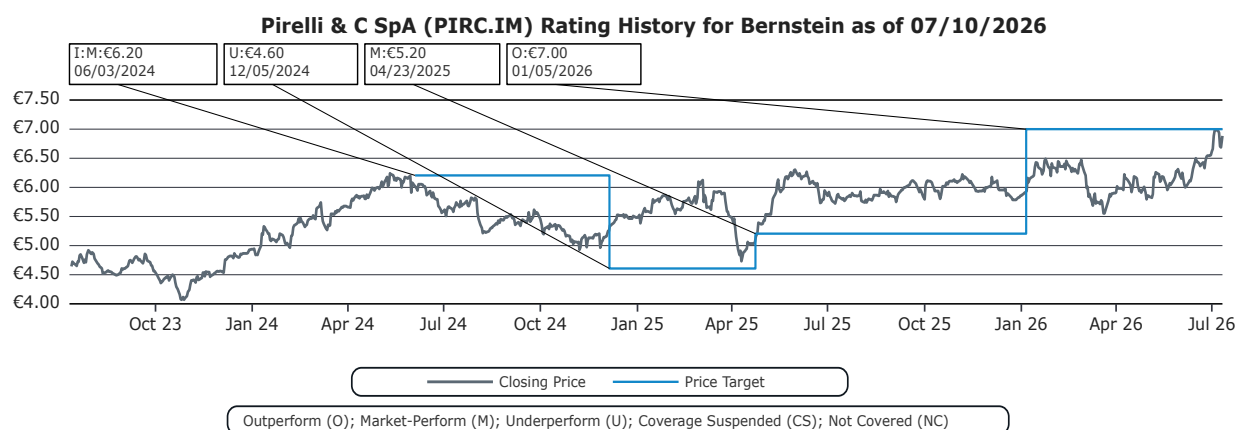
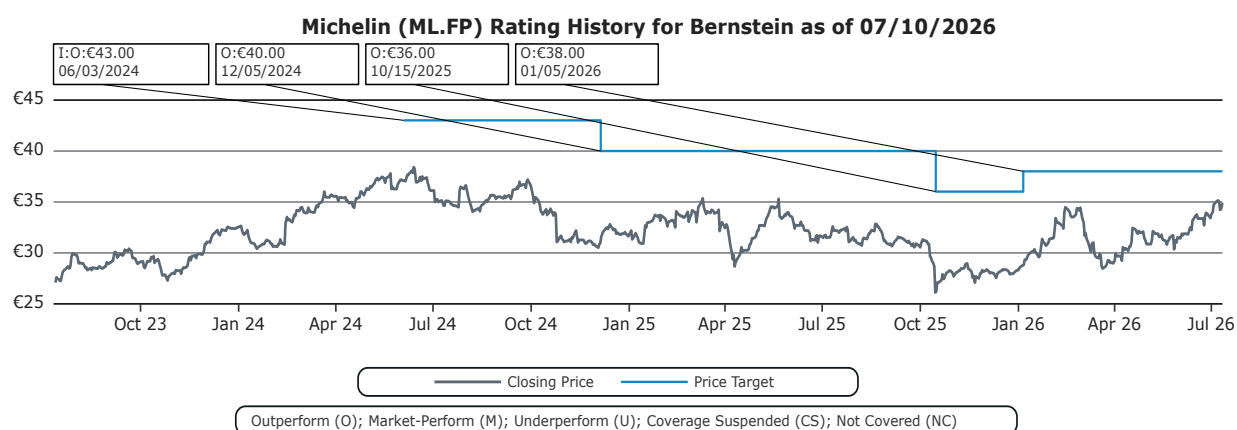
Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.

As of June 30, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY





All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

CONFLICTS OF INTEREST

SG and/or an affiliate acted as Global Coordinator in Compagnie Générale des Établissements Michelin SCA's bond issue (EUR 1bn, 7y and 12y).

SG and/or its affiliates beneficially own 0.5% or more of [the total issued share capital/any class of common equity securities] with a net [long/short] position of: Bridgestone Corp.

An affiliate of Bernstein has received compensation for non-investment banking securities-related products or services in the previous twelve months from the following clients: Bridgestone Corp.

Bernstein and/or affiliates have received compensation for non-investment banking securities-related products or services in the previous twelve months from the following clients: Bridgestone Corp, Michelin and Pirelli & C SpA.

Bernstein and/or affiliates expect to receive or intend to seek compensation for investment banking services in the next three months from Michelin and Pirelli & C SpA.

Certain affiliates of Bernstein act as market maker or liquidity provider in the equities securities of: Continental AG, Michelin and Pirelli & C SpA.

Bernstein and/or affiliates had an investment banking client relationship during the past twelve months with Michelin.

Certain affiliates of Bernstein act as market maker or liquidity provider in the debt securities of: Michelin and Pirelli & C SpA.

OTHER MATTERS

The legal entity(ies) employing the analyst(s) listed in this report, and their location, can be determined by the country code of their phone number, as follows:

- +1 Bernstein Institutional Services LLC; New York, New York, USA
- +44 Bernstein Autonomous LLP; London UK
- +212 Société Générale Africa Technologies & Services; Casablanca, Morocco
- +33 BSG France S.A.; Paris, France
- +34 BSG France S.A.; Madrid, Spain
- +41 Bernstein Autonomous LLP; Geneva, Switzerland
- +49 BSG France S.A.; Frankfurt, Germany
- +91 Sanford C. Bernstein (India) Private Limited; Mumbai, India
- +852 Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司; Hong Kong, China
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